



*Jo biwi se kare pyaar, woh  
Prestige se kaise kare inkaar.*

**Prestige®**

ANNUAL REPORT 2013-14



*Jo biwi se kare pyaar, woh  
Prestige se kaise kare inkaar.*

**Prestige®**

## TTK PRESTIGE LIMITED

## FIFTY EIGHTH ANNUAL REPORT 2013 - 14

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## BOARD OF DIRECTORS

|                                |                                 |
|--------------------------------|---------------------------------|
| Shri. T.T. Jagannathan         | Executive Chairman              |
| Shri. T.T. Raghunathan         | Vice Chairman                   |
| Shri. S. Ravichandran          | Managing Director               |
| Shri. Ajay I. Thakore          | Director                        |
| Shri. R. Srinivasan            | Director                        |
| Dr. (Mrs.) Latha Jagannathan   | Director                        |
| Dr. (Mrs.) Vandana R. Walvekar | Director                        |
| Shri. Dileep K. Krishnaswamy   | Director                        |
| Shri. Arun K. Thiagarajan      | Director                        |
| Shri. K. Shankaran             | Director & Whole-time Secretary |

## STATUTORY AUDITORS

M/s. S. Viswanathan  
Chartered Accountants  
27/34, II Floor, Nandi Durg Road, Jayamahall Extension, Bengaluru - 560 046.

REGISTERED OFFICE & WORKS  
Plot No. 38, SIPCOT Industrial Complex  
Hosur - 635 126, Tamil Nadu.

CORPORATE OFFICE  
11<sup>th</sup> Floor, Brigade Towers  
135, Brigade Road  
Bengaluru - 560 025.

FACTORIES  
82 & 85, SIPCOT Industrial Complex  
Hosur - 635 126  
Tamil Nadu.

SF-234/1, Pollachi Road  
Myleripalayam Village  
Coimbatore - 641 032  
Tamil Nadu.

Plot No. 1A & 2  
Dev Bhoomi Industrial Estate  
Roorkee - 247 667, Uttarakhand.

Vermardi Road, Juni Jithardi Village, Karjan Taluka,  
Vodadara, Gujarat.

## BANKERS

1. Canara Bank, Prime Corporate Branch  
Shankaranarayana Building, M.G. Road  
Bengaluru - 560 001.
2. Bank of Baroda  
CFS Branch, Brigade Road  
Bengaluru - 560 025.
3. HDFC Bank Ltd.  
Richmond Road  
Bengaluru - 560 025.

## REGISTRARS &amp; SHARE TRANSFER AGENTS

Karvy Computershare (P) Limited  
Plot No. 17-24, Vittal Rao Nagar, Madhapur  
Hyderabad - 500 081.

## BRANCHES

Ahmedabad, Bengaluru, Chandigarh, Chennai, Cuttack, Delhi, Dehradun, Ernakulam, Ghaziabad, Goa, Gurgaon, Guwahati, Hubli, Hyderabad, Indore, Jaipur, Jammu, Jamshedpur, Kolkatta, Lucknow, Ludhiana, Mumbai, Parwanoo (HP), Patna, Pune, Raipur, Trichy and Vijayawada.

## DIRECTORS' REPORT

(Including Management Discussion and Analysis Report)

Your Directors have pleasure in presenting their Fifty Eighth Annual Report, together with the Audited Accounts of the Company, for the year ended 31<sup>st</sup> March 2014 as follows:

### FINANCIAL RESULTS

(₹ in lakhs)

|                                           | 2013-14 | 2012-13 |
|-------------------------------------------|---------|---------|
| Sales (inclusive of excise duty)          | 132338  | 138589  |
| Other income                              | 788     | 473     |
| Exceptional Income                        | 696     |         |
| EBIDTA (before net Exceptional Income)    | 16810   | 20845   |
| EBIDTA (Including net Exceptional Income) | 17506   | 20845   |
| Profit/(Loss) before tax                  | 15175   | 18520   |
| Tax Provision                             | 3996    | 5211    |
| Net Profit/(Loss) after Tax               | 11179   | 13309   |
| Transfer to General Reserve               | 1200    | 1500    |
| Proposed Dividend (including tax)         | 2724    | 2322    |
| Surplus carried to balance sheet          | 7255    | 9487    |

### REVIEW OF PERFORMANCE :

Your Company is focussed on growth with a fair return on capital employed. Your Company does not follow a standalone margin-led strategy. Therefore the performance has to be understood in the light of the philosophy followed by your Company.

- After a decade of high growth and a CAGR in excess of 25%, your company for the first time witnessed a drop of 4.5% in topline largely due to sudden shifts in government policy, economic slowdown across the country, more trying economic climate in most of the southern markets and deteriorating consumer sentiment across categories in the backdrop of unprecedented inflation in articles of daily consumption. In sum and substance a host of external factors impacted the growth path of your company both in domestic market and export market.
- More specific to your Company was the high base effect in the previous year due to Induction Stove and its bundled products which declined by 38% solely due to shift in Government Policy on domestic cooking gas cylinder subsidies. In the rest of the category the growth in domestic sale was around 8% which can be considered significant in this economic climate. In fact your Company registered impressive growths in mixer-grinders, gas stoves, Inner-lid pressure cookers and in general in all value added products.
- Not deterred by general sentiment your company launched an all new brand campaign using India's leading celebrity couple as brand ambassadors and introduced several new and advanced models of various products. This has ensured that your Company's brand salience is kept more prominent and market share was either maintained or improved across product categories and markets.
- The impact on topline also impacted EBIDTA (before exceptional items) and Profit after tax which declined by 19.4% and 16% respectively.
- Your Company did get some boost to profits due to receipt of enhanced compensation and interest aggregating to ₹ 8.10

crores through a court order relating to portions of industrial land of your Company acquired by the Government about 10 years back. Your Company also incurred a sum of ₹ 1.14 crores on a VRS scheme in the Hosur factory. The net exceptional income was therefore ₹ 6.96 crores

- The operating EBIDTA margin was 12.70% as compared to 15% in the previous year, the drop largely being attributable to under-absorption of some overheads owing to drop in sales.
- Earnings per Share stood at ₹ 96.78 (Previous Year ₹ 117.35).
- The ratio of Operating EBIDTA/ Operating Capital employed (excluding CWIP) in the Kitchen Segment is 27.62%. This is on a substantially increased asset base due to capitalization of the Gujarat facilities which can be used to optimum potential only in the next few years.
- Your Board of Directors are of the view that the current year performance is commendable in the light of several external factors which are not under the control of the management and that the constant efforts to derisk your Company from being dependent on a few products and markets have made your Company withstand the onslaught of several adverse external factors in one single year.

A detailed analysis is provided under the section 'Management's Discussion and Analysis' forming part of this Director's Report.

### AWARDS AND RECOGNITIONS

Your Company continued to be recognized by various agencies for its high quality performance in various parameters.

- (1) Your Company's brand Prestige continues to be recognized as the Super Brand in the Kitchen Appliances Segment. The Company also won the "The Trusted Brand Award" during the year.
- (2) Your Company was honoured with the Dun & Bradstreet - Manappuram Finance Limited Corporate Awards 2014 in the Consumer Durable/Domestic Appliances Sector. Your Company is listed among the top 500 Companies 2014.
- (3) In the area of Retail your Company has bagged :
  - (a) the award for the Best Franchiser in the "Home" category – for the 8th year in a row.
  - (b) the Award for Best Retailer in Home & Office Category – for the 4<sup>th</sup> year in a row.
- (4) The "Thought Leadership Award" for the best team was won by the Company and your Chairman Mr. T.T. Jagannathan has been honoured with the most coveted "Award for Excellence in improving Performance through Leadership."
- (5) Some of your Company's key executives have also been recognized by reputed external Agencies:
  - (a) Mr. Chandru Kalro won the "Marketing Thought Leader of the Year" Award and
  - (b) Mr. K.G. George was adjudged as "one of the Top 50 Retail Professionals"

### MANAGEMENT DISCUSSION AND ANALYSIS

#### A. ECONOMY /INDUSTRY SCENARIO

The macroeconomic environment continued to pose challenges in the Fiscal Year 2013-14 against the backdrop



of continued economic slowdown in the domestic economy, high inflation and weak global economic environment. The real GDP growth rate was estimated at less than 4.9% a further drop from the previous fiscal. During the year inflationary trends continued to inhibit consumption. In fact the Private Final Consumption Expenditure (PFCE) grew by a mere 2.2% in 2013-14. This is much lower than the PFCE growth of 8% witnessed till 2011-12.

Major States like Tamil Nadu and Kerala, suffered heavily due to poor monsoon and power deficit which affected every part of the economy in these States. Andhra Pradesh also went through a slow down due to local political factors and policy affecting mining industries. The Non-South regions, which had shown excellent growth during the last year, were also not buoyant during this year due to the base effect relating to the previous year compounded by the economic slowdown spreading to the non-south markets in the second half of 2013-14.

Your Company operates in the kitchen appliances segment with a wide range of product categories. The product categories consist of Pressure Cookers, Non-stick Cookware, Gas Stoves and Domestic Kitchen Electrical Appliances. The market for Pressure Cookers is shared amongst organized national branded players, regional players and unorganized players. Over the years, the share of the unorganized players has been gradually coming down as there has been a shift in the consumer preference to reliable branded players. The market for organized brands is estimated at about 60% of the total market. The share of unorganized players is greater for Non-stick cookware as compared to pressure cookers. For the rest of the product categories, the market structure is fragmented and the share and the role of regional brands and unorganized players continue to be significant.

The appliance category is witnessing entry of quite a few players who have brand strength in non-kitchen appliance business and this will possibly drive the demand towards organized players who can offer innovative products at frequent intervals and further invest in the brand.

## **B. OPPORTUNITIES, THREATS AND COMPANY'S RESPONSE**

Your Company will continue to operate out of its core strengths of brand, innovation, design, manufacturing, distribution, sourcing and service capabilities; the core vision of 'A Prestige in every Indian Kitchen'; and the core mission of 'Quality products at affordable prices'.

The above stated strengths and vision have helped your Company to broad base its product category, consumer base and geographical coverage. Continuous interaction with the ultimate user of the product has been helping your Company in identifying the pain points and offering solutions in the form of innovative products, concepts and consumer offer of bundled products for a holistic use. This focus helps your Company to create opportunities even in the face of depressed consumer sentiment.

Your Company strongly believes that there is enough head room for growth both in the near-term and the long-term in its core kitchenware and kitchen appliance business. The

potential exists in existing product categories, new product categories as well as untapped markets. There is bound to be more additions to middle income demography once the current economic slowdown melts down. While there are more players entering this space, opportunistic entrants without long-term interest or strategy cannot last long but can queer the pitch in the short run.

Your Company believes in continuous brand building and launched a whole new campaign roping in India's leading celebrity couples Mr Abishek Bacchhan and Mrs Aishwarya Rai as brand ambassadors. This campaign has been well received throughout the length and breadth of the country. This campaign backed by launch of innovative products has been designed to evince and sustain the consumer interest in your Company's products and this objective has largely been achieved. This brand building strategy has a clear long-term outlook to deal with competition effectively. Instead of trying to cut brand promotion budget to shore up short-term profits, your Company took a long-term view and boldly invested in the all new campaign.

Your Company will be entering the water filter category during the FY 2014-15. A wholly new range of pressure cookers, cookware and appliances are also slated for launch during the current financial year. Notwithstanding the steep drop in Induction Cook top in 2013-14, it has become a staple product category in the company's portfolio and normal growth can be expected in this product category due to innovative offerings and promoting it as a complimentary to gas stove in the kitchen if not a substitute.

Your Company will continue to focus on various ways of reaching the consumer through every channel and especially by expanding the Prestige Smart Kitchen network. Your Company plans to expand the network to strength of 1000 in the next three years from the current strength of 536 stores.

Over the last 10 years your Company has built the strong exclusive retail network 'Prestige Smart Kitchen'. On similar lines your Company is in the process of establishing a dedicated Service Network under the name and style "Prestige Service Centre" with modern and customer friendly ambience. Already 177 centres have been opened and further additions will be made across the country. In our continuous journey in the direction of "Best in class" After sales service, we have also established a Call Centre, with a considerable investment. This will enable us to speed up our servicing process, gather information on product problems which will go a long way to improve our quality on a continuous basis.

Your Company sees reasonable opportunity in export markets based on its modern facilities established in Gujarat. Quite a few reputed overseas brands are in touch with us. There is further opportunity in the form of a totally new microwave pressure cookers getting ready for launch. The shareholders will be kept informed of further developments in this regard.

## **C. ANALYSIS OF PERFORMANCE :**

### **1. Kitchen Appliances :**

The products include Pressure Cookers, Non-stick Cookware, Kitchen Electrical Appliances and Gas Stoves.

# TTK Prestige Limited

The turnover of these product categories is given in the following table:

(In ₹ Lakhs)

|                                                         | 2013-14       |             |               | 2012-13       |             |               |
|---------------------------------------------------------|---------------|-------------|---------------|---------------|-------------|---------------|
|                                                         | Domestic      | Export      | Total         | Domestic      | Export      | Total         |
| Pressure Cookers (including microwave pressure cookers) | 44240         | 5161        | 49401         | 44661         | 6403        | 51064         |
| Non-stick Cookware                                      | 22487         | 169         | 22656         | 24430         | 55          | 24485         |
| Kitchen Electric Appliances                             | 39662         | 80          | 39742         | 45541         | -           | 45541         |
| Gas Stoves                                              | 16689         |             | 16689         | 12789         |             | 12789         |
| Others                                                  | 3776          | 74          | 3850          | 4710          |             | 4710          |
| <b>Total</b>                                            | <b>126854</b> | <b>5484</b> | <b>132338</b> | <b>132131</b> | <b>6458</b> | <b>138589</b> |

- Domestic Sales was down by 4% while exports sales decreased by 15%.
- The major cause in drop in domestic sales can be attributed to the high base effect of the previous year on account of spurt in sales of bundled Induction Cooktop and related products during the period September 2012 to February 2013 on account of capping of subsidized domestic gas cylinders at 6. The spurt was more in non-south markets. South markets barring Karnataka and Goa have been going through severe economic slow-down since August 2012 due to power shortage, water scarcity, local disturbances, decline in agricultural production etc and it worsened further during FY 2013-14. Thus it may not be appropriate to compare the FY 2013-14 performances with FY 2012-13 which can be considered as an abnormal year. The economic slowdown and consumer apathy which was gripping large parts of southern markets also spread to non-south markets since November 2013.
- Pending launch of a new model of microwave pressure cookers, the export business also witnessed a drop.
- The Gas stove sales showed an impressive growth of 30.49%.
- The drop in kitchen electrical appliances was largely contributed by drop in Induction Cooktop owing to the shift in gas subsidy policy of the Government. The bundling of a part of pressure cooker and cookware with Induction Cooktop gave a boost to the sale of pressure cookers and cookware in the preceding two years. But due to the drop in Induction Cooktop category the bundled concept also affected the domestic pressure cooker and cookware volume during the year. However other products like Mixer Grinders established significant growth.
- The operating EBIDTA margin for the year was 12.7% as compared to 15% in the previous year. This is mainly due to the drop in sales resulting in under absorption of certain overheads like increased pay-roll expenses and power and fuel expenses relating to new manufacturing facilities being commissioned. Your company by and large passed on increases in input costs including those arising out of exchange fluctuation. Given the fact that the company did not compromise on its

brand promotion activities and engaged India's top celebrity couple for endorsing the brand, the EBIDTA margin is quite healthy.

- It may be noted that various operating ratios are unique to your Company and are not strictly comparable to other players whose composition of business may not be similar to your Company. Further based on category mix and seasonal brand/sales promotion activities, the margins may vary from quarter to quarter. As a policy your Company passes increase in input costs to the market save for the lag involved due to pipe line inventory and other related factors.
- The interest cost during the year was ₹ 8.54 crores (PY ₹ 14.26 crores). The Company was able to reduce the borrowing substantially owing to application of free cash flows and proceeds of fresh issue of capital on a preferential basis.
- Own manufactured and domestically sourced products contributed to 75% of the turnover as against 66% in the previous year. The imported products contributed to 25% of the turnover as against 34% in the previous year. This composition also influences the margin as well as working capital investments. The shifting of certain imported products to domestic manufacturing has helped the company to save rupee depreciation costs, transaction costs as well as working capital investments. This also helped the company to maintain a healthy EBIDTA margin.
- Your Company continues to maintain strict control over working capital. However there was an increase in inventories during the year mainly due to demand slowdown arising out of general economic circumstances. Your Company continues to raise significant operating free cash flows which enable your Company to fund the various capital expenditure programmes without resorting to high gearing. The Debt: Equity ratio is insignificant.
- During the year under report your Company introduced around 68 new SKUs covering Pressure Cookers, Induction Cook Tops, Mixer Grinders, Rice Cookers, Gas Stoves and other small electric appliances.
- Your company continues to consolidate and expand Prestige Smart Kitchen retail network. Your company extended its coverage to another 46 towns. The net addition to the number of stores was 103. The number of outlets as at 31.3.2014 was 536. The network now covers 22 States and 275 towns. The spread of the network is also evenly distributed between Metros, Mini-Metros, Tier 1, Tier 2 and Tier 3 cities. About 65% of the Stores are located in South and the balance in Non-South.

## 2. Properties & Investment :

The shareholders are aware that pursuant to shifting of factory operations to other places, the land at Dooravaninagar Bengaluru became surplus and it was decided to develop the same instead of selling it outright. The company has handed over the development to Rajmata Realtors (Salarpuria) for developing an office

cum residential complex. The Developers have informed us that the project is progressing satisfactorily and would be completed before the end of current financial year. Your Company's inflows from this activity will consist of one time sale proceeds of residential allocation to which your Company is entitled as well as rentals from lease of office space allocated to your Company. The cash inflows are expected to materialize during calendar year 2015.

**D. OUTLOOK**

The Indian economy is expected to grow at about 5.5% in 2014-15. This expectation is based on several investment clearances in the recent months. The Private Final Consumption Expenditure is also projected to increase by a little more than 6%. If this expectation materializes it can aid your Company get back to the growth path. It is also expected that post general elections the new Government will be able to stabilize the economic policy and remove all bottlenecks affecting growth. Your Company is banking on its new brand strategy and new product strategy including tapping some export opportunities to get back to the growth trajectory and any revival in the economy in general and consumer sentiment in particular will add strength to your Company's plans.

**E. RISKS AND CONCERNS**

The various general economic risks and concerns which can impact your Company have already been outlined in the preceding sections. The concerns largely center on external factors in general and the revival of the Tamil Nadu economy in particular. Your Company is continuously improving its efficiencies and is hopeful of dealing with the various challenges described in the preceding sections. Your company will not compromise on the objective of growth and improving market share for the sake of short-term profits.

**F. RISK MANAGEMENT**

Your Company has a risk identification and management frame work appropriate to the size of your Company and the environment under which it operates.

Risks are being continuously identified in relation to business strategy, operations and transactions, statutory/legal compliance, financial reporting, information technology system and overall internal control frame work.

Your company has engaged the services of independent professional management auditors for advising the company on a continuous basis on contemporary risk management framework appropriate to the size and operations of the Company. They are also carrying out risk audit on a periodical basis.

**G. FINANCES INCLUDING FRESH ISSUE OF CAPITAL**

Your Company continues to generate substantial post-tax operating free cash flows and the same has been applied to meet capital expenditure besides other uses.

Your company had an inflow of ₹106.5 crores pursuant to preferential issue of shares to Cartica Capital Ltd, a FII. The proceeds of the issue have been applied for the general corporate purposes including retirement of debt.

The outstanding borrowing as on 31.3.2014 was around ₹ 12 crores, net of investments in Liquid Funds.

**H. INVESTMENTS**

There are no changes in the investments of the company apart from changes in liquid investments in mutual funds as part of normal treasury operations.

**I. INTERNAL CONTROL SYSTEMS**

Your Company is continuously making improvements in internal control systems commensurate with the increasing operations. Independent team of Internal Auditors/ Management Auditors are carrying out internal audits and advising the management on strengthening of internal control systems including risk management.

**J. DEVELOPMENTS IN HUMAN RESOURCES**

Having due regard to the long-range plan, your Company has embarked upon strategic HR initiatives. Your Company roped in the services of Aon Hewitt, a world renowned consulting firm in this connection. Improved organisation structure, leadership development and succession management policies have been put in place. Wherever necessary fresh recruitments at senior and middle management level are being made.

The direct employment strength stood at 1276 as compared to 1306 in the previous year.

Your Company continues to have cordial industrial relations in all its manufacturing units.

**CAPITAL EXPENDITURE & EXPANSION PLANS**

As already reported your company has completed most of its capital expenditure investments in Uttarakhand, Coimbatore and Hosur units. All these facilities are delivering good volume of commercial production.

The installation of plant in Gujarat has been completed and the commercial production has started from July 2013. Though the commissioning is delayed by about three months there is no cost overrun.

The overall capital expenditure plan (other than normal capital expenditure) for the three years commencing April 2010 which was estimated at around ₹ 325 crores has been fully spent out. With this, your Company has installed sufficient capacities for Pressure Cookers and Cookware to meet the long-term requirements and has also created facilities for assembly of appliances.

Going forward the normal annual capital expenditure is expected to be of the order of ₹ 25 Crores.

**SCHEME OF ARRANGEMENT:**

During November 2012 the Board of Directors of your Company approved a Scheme of Arrangement (Demerger) whereby the Kitchen Appliances Division of Triveni Bialetti Industries Private Limited (TBI), (a subsidiary of Bialetti Industries SpA, Italy) with all its assets, rights, liabilities, obligations, benefits under tax laws etc., will be vested in your Company the Appointed Date being 1<sup>st</sup> April, 2012. The Scheme has been approved by

# TTK Prestige Limited

the Stock Exchanges and further approved by the Honourable High Court of Madras. However the sanction of the Honourable High Court of Mumbai, the jurisdictional court for TBI is still awaited. On sanction of the Scheme by the High Court of Mumbai necessary effect will be given in the books of account.

TBI, which has its manufacturing base in Maharashtra, is contract manufacturing certain products for your Company.

## DIRECTORS

Mr. T.T. Raghunathan and Dr. (Mrs) Latha Jagannathan retire by rotation and are eligible for re-election. The information on these retiring Directors is provided in the Notice calling the Annual General Meeting.

Mr. R. Srinivasan is an independent director and in terms of the earlier reappointment holds office till the ensuing Annual General Meeting. As he fulfills the qualifications required to hold the office of independent director, he is proposed to be appointed as independent director for a period of five years in accordance with the provisions of Companies Act, 2013. The requisite particulars are provided in the notice calling the Annual General Meeting.

## FIXED DEPOSIT

The Fixed Deposits aggregated to ₹ 189.89 lakhs as on 31<sup>st</sup> March 2014. There were 2 unclaimed deposits totalling ₹ 14.22 lakhs, which remained unpaid as on that date.

## DIVIDEND

Your directors recommend payment of a dividend of ₹ 20/- per share for the year as compared to ₹17.5 per share declared for the previous year.

## FUTURISTIC STATEMENTS

This Directors Report and the Management Discussion and Analysis included therein may contain certain statements, which are futuristic in nature. Such statements represent the intentions of the Management and the efforts being put in by them to realize certain goals. The success in realizing these goals depends on various factors both internal and external. Therefore, the investors are requested to make their own independent judgments by taking into account all relevant factors before taking any investment decision.

## CORPORATE GOVERNANCE

Report on Corporate Governance is separately presented as part of the Annual Report. Management Discussion and Analysis is included in this Directors' Report in the preceding sections.

## EMPLOYEES

The particulars as required under Sec. 217 (2A) of the Companies Act, 1956 are given in the Annexure to this report.

## AUDITORS

M/s. S. Viswanathan, Chartered Accountants retire at the ensuing Annual General Meeting and are eligible for reappointment as statutory auditors of the Company.

## COST AUDITOR

In conformity with the directives of the Central Government, your Board of Directors has appointed Sri. V. Kalyanaraman, Cost Accountant, No. 4 Second Street, North Gopalapuram, Chennai 600 086, as the Cost Auditor under Section 233B of the Companies Act, 1956, for the audit of cost accounts for Aluminium, Stainless Steel Pressure Cookers, Non-stick Cookware for the year ended 31.3.2014. The cost audit report for the year ended 31.3.2014 will be filed in accordance with the provisions of the Companies Act.

## LISTING

Your Company's shares are listed in the Bombay Stock Exchange and National Stock Exchange and the listing fees for these two exchanges have been paid.

## FOREIGN EXCHANGE EARNINGS

The details of foreign exchange earnings and outflow are given in the annexure to this Report.

## CONSERVATION OF ENERGY AND RESEARCH AND DEVELOPMENT

The measures related to conservation of energy, etc., are covered in the annexure to this Report pursuant to Section 217(1) (e) of the Companies Act, 1956.

## DIRECTORS' RESPONSIBILITY STATEMENT

As required by Sec 217(2AA) of the Companies Act, 1956 your Directors confirm

1. that in the preparation of the annual accounts, the applicable accounting standards have been followed, along with proper explanation relating to material departures;
2. that they have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent, so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit or loss of the Company for that period;
3. that they have taken proper and sufficient care for the maintenance of adequate accounting records, in accordance with the provisions of the Companies Act, 1956 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities; and
4. That they have prepared the annual accounts on a going concern basis.

## ACKNOWLEDGEMENTS

Your Directors deeply appreciate and acknowledge the significant and continued co-operation given to your Company by the Bankers, Financial Institutions and the employees of the Company.

For and on behalf of the Board

**(T.T. JAGANNATHAN)**  
Chairman

Registered Office :  
Plot No. 38, SIPCOT Industrial Complex,  
HOSUR - 635 126, Tamil Nadu.

Place : Bengaluru  
Dated : 15<sup>th</sup> July, 2014



**Information as per Section 217(1) (e) of the Companies Act, 1956 read with Companies (Disclosure of Particulars in the report of the Board of Directors) Rules, 1988 for the year ended 31<sup>st</sup> March 2014**

- A. CONSERVATION OF ENERGY AS PER FORM A - Not Applicable.
- B. PARTICULARS AS PER FROM B – RESEARCH & DEVELOPMENT
1. Constant efforts are made to improve the quality of the product and upgrade the Manufacturing Process of all the products of the Company. During the year your Company has filed Two patent and Four design applications.
  2. During the year your Company has received product patent for a New Microwave Pressure Cooker with New Locking System from South Korea and obtained Design Registration for Hybrid Gas Stove and a New Mixer Grinder.
  3. Your Company's R&D Centre at Hosur has received recognition from the Department of Science and Technology. The capital expenditure incurred on this center during the year was ₹ 44.26 lakhs. The revenue expenditure incurred was ₹ 178.38 lakhs. These expenses are eligible for certain income tax benefits.
- C. FOREIGN EXCHANGE EARNINGS & OUTFLOW
- |                                     |   |                  |
|-------------------------------------|---|------------------|
| 1) Inflow Export of Goods (FOB)     | - | ₹ 5483.05 Lakhs  |
| 2) Outflow Import of Goods & Others | - | ₹ 20063.68 Lakhs |

Registered Office:  
Plot No. 38,  
SIPCOT Industrial Complex,  
HOSUR - 635 126, Tamil Nadu

For and on behalf of the Board

**(T.T. JAGANNATHAN)**  
Chairman

Place : Bengaluru  
Dated : 15<sup>th</sup> July, 2014

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## ANNEXURE TO THE DIRECTORS REPORT 2013-14

### Particulars of Employees

Information as per Section 217(2A) of the Companies Act, 1956 read with the Companies (Particulars of Employees) Rules, 1975 and forming part of the Directors' Report for the year ended 31<sup>st</sup> March, 2014

| Name               | Designation                              | Qualification                                                                     | Experi-<br>ence<br>in years | Remune-<br>ration<br>₹ | Age | Commence-<br>ment<br>of<br>Employment | Particulars<br>of last<br>employment                           |
|--------------------|------------------------------------------|-----------------------------------------------------------------------------------|-----------------------------|------------------------|-----|---------------------------------------|----------------------------------------------------------------|
| T.T. Jagannathan * | Chairman                                 | B. Tech (IIT, Madras<br>M.S. (Operations Research)<br>Cornell University, Newyork | 43                          | 73509885               | 65  | 01/01/1975                            | G.M., T T Maps &<br>Publications Ltd.,                         |
| S. Ravichandran *  | Managing Director                        | B.Tech., P.G.D.B.A                                                                | 41                          | 21561538               | 62  | 05/02/1997                            | President<br>Maxworth Orchards<br>(India) Ltd., Chennai        |
| K. Shankaran       | Director & Secretary                     | B.Com., AICWA<br>FCS, MAC                                                         | 39                          | 16376993               | 60  | 09/10/1990                            | Secretary<br>Spencer & Co.,<br>Limited, Chennai                |
| M.Chandru Kalro    | Chief Operating Officer                  | B.E                                                                               | 28                          | 11740262               | 50  | 29/03/1993                            | Asst Manager<br>(Marketing)<br>BPL India Limited               |
| H.T.Rajan          | Chief Manufacturing Officer              | B.Tech., MBA                                                                      | 32                          | 9356878                | 55  | 16/07/2010                            | Managing Director<br>TTK -LIG Limited                          |
| Dinesh Garg        | Senior Vice President -<br>Appliances    | BE (Agricultural Engg),<br>PGDM (Marketing) - IIM<br>Ahmedabad                    | 26                          | 6796428                | 49  | 10/07/1997                            | Regional Sales<br>Manager- Band Street<br>Perfumes & Cosmetics |
| V. Sundaresan      | Senior Vice President -<br>Finance & CFO | B.Com, FCA                                                                        | 33                          | 6126995                | 59  | 16/06/1997                            | GM- Finance, Gain<br>Well Medi Mart Ltd,<br>Bengaluru          |
| K.G. George        | Senior Vice President- Retail            | BE (Mech), PGDM -IIM,<br>Bangalore                                                | 29                          | 6092203                | 50  | 01/04/1992                            | Sales Executive-<br>TVS Suzuki                                 |

Notes: Remuneration includes P.F., Gratuity, Contribution to Superannuation Scheme, Housing, etc., wherever applicable.

None of the employees excepting Mr. T.T. Jagannathan is a relative of any of the Directors. Mr. T.T. Jagannathan is the brother of Mr. T.T. Raghunathan, Director and husband of Dr. (Mrs.) Latha Jagannathan, Director.

\* Term of employment is contractual

For and on behalf of the Board

**(T.T. JAGANNATHAN)**  
Chairman

Place : Bengaluru

Date : 15<sup>th</sup> July, 2014

## REPORT ON CORPORATE GOVERNANCE

**1. Philosophy**

In line with the tradition of the TTK Group, the Board of Directors of TTK Prestige Limited view their role as trustees of the various stakeholders and the society at large and it is their endeavour to observe best corporate governance practices which inter-alia include transparency, accountability, and fairness in all dealings and pursuing a policy of appropriate disclosures and communication.

It is the philosophy of the Board that the Company continues to follow fair business and organizational practices to fulfill the mission of Quality Consumer Products at Affordable prices and in the process deliver long term sustainable shareholder value. It is also the Philosophy of the Board that practice of Corporate Governance should travel beyond Statutory Requirements and further encompass social responsibilities.

The Board of Directors believe that excellence in Corporate Governance Practices can be achieved only if the spirit of Corporate Governance is followed right from the top management to the last level employee of the Company.

**2. Board of Directors**

The Board consists of 10 Directors. The composition of the Board conforms to the Listing Agreement as per the details given below:

| Category                            | Name of the Director                                                                                                            |
|-------------------------------------|---------------------------------------------------------------------------------------------------------------------------------|
| Promoter / Executive Director       | Mr. T.T. Jagannathan<br>Executive Chairman                                                                                      |
| Promoter / Non-Executive Directors  | Mr. T.T. Raghunathan<br>Dr. (Mrs.) Latha Jagannathan                                                                            |
| Non-Promoter / Executive Directors  | Mr. S. Ravichandran (Managing Director)<br>Mr. K. Shankaran (Director & whole-time Secretary)                                   |
| Non-Executive Independent Directors | Mr. Ajay I Thakore<br>Mr. R. Srinivasan<br>Dr. (Mrs.) Vandana Walvekar<br>Mr. Dileep K. Krishnaswamy<br>Mr. Arun K. Thiagarajan |

Mr. T.T. Jagannathan is the brother of Mr. T.T. Raghunathan  
Dr. (Mrs.) Latha Jagannathan is the wife of Mr. T.T. Jagannathan.

**3. Board Meetings, Attendance and other directorships**

The company held 6 Board meetings during the period 1.4.2013 to 31.3.2014. The dates of the meetings are 16<sup>th</sup> May 2013, 31<sup>st</sup> May 2013, 15<sup>th</sup> July, 2013, 23<sup>rd</sup> September, 2013 12<sup>th</sup> October 2013 & 17<sup>th</sup> January, 2014. The attendance particulars are as follows:

| Name of the Director         | Attendance Particulars |          | No. of other directorships and committee membership/ chairmanship |                       |                         |
|------------------------------|------------------------|----------|-------------------------------------------------------------------|-----------------------|-------------------------|
|                              | Board Meetings         | Last AGM | Other Directorships                                               | Committee Memberships | Committee Chairmanships |
| Mr. T.T. Jagannathan         | 5                      | Yes      | 3                                                                 | -                     | -                       |
| Mr. T.T. Raghunathan         | 4                      | No       | 3                                                                 | -                     | -                       |
| Dr. (Mrs.) Latha Jagannathan | 5                      | Yes      | 1                                                                 | -                     | -                       |
| Mr. Ajay I Thakore           | 6                      | No       | -                                                                 |                       |                         |
| Mr. R. Srinivasan            | 5                      | Yes      | 8                                                                 | 5                     | 2                       |
| Dr. (Mrs.) Vandana Walvekar  | 5                      | No       | -                                                                 | -                     | -                       |
| Mr. S. Ravichandran          | 6                      | Yes      | -                                                                 | -                     | -                       |
| Mr. K. Shankaran             | 6                      | Yes      | 1                                                                 | 3                     | -                       |
| Mr. Dileep K. Krishnaswamy   | 6                      | Yes      | -                                                                 |                       | -                       |
| Mr. Arun K. Thiagarajan      | 5                      | Yes      | 5                                                                 | 6                     | -                       |

Other directorship does not include private companies.

# TTK Prestige Limited

## 4. Audit committee :

The Company has complied with the requirements of Clause 49 of the Listing Agreement of the Stock Exchange and Section 292A of the Companies Act, 1956 as regards composition of Audit Committee.

The Audit Committee consists of five Non-executive Independent Directors. The Committee has held six meetings during the financial year 2013-14 i.e., 16<sup>th</sup> May 2013, 24<sup>th</sup> May 2013, 15<sup>th</sup> July, 2013, 23<sup>rd</sup> September 2013, 12<sup>th</sup> October 2013 and 17<sup>th</sup> January, 2014. The Composition of the Audit Committee as on 31<sup>st</sup> March, 2014 and the attendance of members at the meetings of the Audit Committee held during the financial year 2013-14 are as follows:

| Members of the Audit Committee        | No. of meetings attended |
|---------------------------------------|--------------------------|
| Mr. Ajay I Thakore                    | 4                        |
| Dr. (Mrs.) Vandana Walvekar           | 4                        |
| Mr. R. Srinivasan                     | 6                        |
| Mr. Dileep K. Krishnaswamy (Chairman) | 6                        |
| Mr. Arun K. Thiagarajan               | 6                        |

The Audit Committee Meetings were also attended by the Statutory / Internal Auditors, wherever necessary.

The Audit Committee is responsible for overseeing the Company's financial reporting process, reviewing the quarterly / half yearly / annual financial statements, reviewing with the management the financial statements and adequacy of internal audit function, recommending the appointment / re-appointment of statutory auditors and fixation of audit fees, appointment of CFO reviewing the significant internal audit findings / related party transactions, reviewing the Management Discussion and Analysis of financial condition and result of operations and also statutory compliance issues. The Committee acts as a link between the management, external and internal auditors and the Board of Directors of the Company.

The Committee has discussed with the statutory auditors and external management auditors regarding their audit methodology, audit planning and significant observations / suggestions made by them. The Committee has also discussed major issues related to risk management and compliances.

In addition, the Committee has discharged such other role / function as envisaged under Clause 49 of the Listing Agreement of the Stock Exchange and the provisions of Section 292A of the Companies Act, 1956.

## 5. Remuneration Committee:

The Remuneration Committee consists of three Non-executive Independent Directors namely, Mr. Ajay I Thakore as Chairman and Dr. (Mrs.) Vandana R. Walvekar & Mr. R. Srinivasan as Members of the Committee.

The role of the Remuneration Committee is to recommend to the Board, the remuneration package of the Executive Directors. Remuneration of Executive Directors is governed by the external competitive environment, track record, potential and performance of the executive and performance of the Company.

The Company has a credible and transparent Policy in determining and accounting for the remuneration of the Executive / Non-executive Directors. Their remuneration is determined in accordance with the experience and nature of responsibilities as well as industry standards. The same is subject to the approval of the Remuneration Committee of the Board of Directors and the Members.

The Board shall from time to time provide requisite guidelines / scope of work for the Remuneration Committee and the Committee will discharge such other functions as are required under the provisions of the Listing Agreement and the Companies Act, 1956.

The committee met once during the year.

## 6. Directors' Remuneration

The details of remuneration paid to whole-time directors for the year 2013-14 are as follows:

| Name/Designation                       | Salary  | HRA and other allowances | Contribution to PF and other funds | Performance Bonus Commission | Total    | Tenure of appointment                                             |
|----------------------------------------|---------|--------------------------|------------------------------------|------------------------------|----------|-------------------------------------------------------------------|
|                                        | ₹       | ₹                        | ₹                                  | ₹                            | ₹        |                                                                   |
| T.T. Jagannathan<br>Executive Chairman | 5100000 | 3456328                  | 988930                             | 63964627                     | 73509885 | 5 years from<br>1 <sup>st</sup> July 2013                         |
| S. Ravichandran<br>Managing Director   | 2400000 | 2652061                  | 518320                             | 15991157                     | 21561538 | From 5 <sup>th</sup> Feb, 2012 to<br>31 <sup>st</sup> March, 2015 |

The Managerial remuneration paid to the Wholetime Directors is within the ceiling prescribed under Schedule XIII to the Companies Act, 1956.

The Company currently does not have Stock Option Schemes.



The company paid sitting fees of ₹ 20,000/- per meeting of the Board/Committee, attended to each of the non-executive directors during the year 2013-14 and also provided for commission pursuant to the special resolution already passed by the shareholders, the details of which are as follows:

| Director                    | Sitting fees | Commission | Total   |
|-----------------------------|--------------|------------|---------|
| T.T. Raghunathan            | 60000        | 1200000    | 1260000 |
| Dr. (Mrs) Latha Jagannathan | 120000       | 1200000    | 1320000 |
| Ajay Thakore                | 180000       | 1200000    | 1380000 |
| Dr. (Mrs) VandanaWalvekar   | 200000       | 1200000    | 1400000 |
| Mr. R. Srinivasan           | 240000       | 1200000    | 1440000 |
| Dr. Dileep Krishnaswamy     | 240000       | 1200000    | 1440000 |
| Mr. Arun Thiagarajan        | 220000       | 1200000    | 1420000 |

The above sitting fees and commission paid is within the ceiling prescribed under the provisions of the Companies Act, 1956.

## 7. Shareholders'/Investors' Grievance Committee

This committee consists of Mr. T.T. Jagannathan, Mr. S Ravichandran, Dr. (Mrs) Latha Jagannathan and Mr. K Shankaran. This committee is chaired by Dr. (Mrs) Latha Jagannathan, a non-executive director. The committee's scope includes issue of duplicate share certificates, overseeing of process of redressal of investor grievances and the performance of the Registrars and Share Transfer Agents. The power to approve share transfers is delegated to Mr K Shankaran, Director and a few other executives of the company. Share transfers are approved on a weekly basis.

The Board has designated Mr. K. Shankaran, Director and Company Secretary, as the Compliance Officer.

The total number of complaints received and replied to the satisfaction of shareholders during the year under review, was 159. No requests for dematerialization were pending for approval as on 31<sup>st</sup> March, 2014.

The committee met once during the year.

## 8. Particulars of Directors appointed/re-appointed.

### 1. Mr. T.T. Raghunathan

Mr. T.T. Raghunathan is a Commerce Graduate. He has been on the Board of your Company since 1995. He has vast industrial experience and has been actively involved in the management of various companies of the TTK Group.

Mr. T.T. Raghunathan is also on the Board of TTK Healthcare Limited, TTK Protective Devices Limited, TTK Tantex Limited, TTK Services (P) Limited, CignaTTK Health Insurance Company Limited and TTK Property Services (P) Ltd.

He holds 2000 shares in the Company.

### 2. Dr. (Mrs.) Latha Jagannathan

Dr. (Mrs.) Latha Jagannathan is a Medical Practitioner. She has been on the Board of the Company since 1988.

She is a Director on the Board of TTK Protective Devices Limited.

She chairs the Shareholders'/Investor Grievance Committee of the Company.

She does not hold any shares in the Company.

### 3. Mr. R. Srinivasan

Mr. R. Srinivasan is B.E. (Hons.) and is an independent professional having vast industrial experience and is also a Management Consultant. He has been on the Board of the Company since 2000.

He is a Director of ACE Designers Ltd., Kirloskar Oil Engines Ltd, Murugappa Morgan Thermal Ceramics Ltd, Nettu Technical Training Foundation, TTK Healthcare Limited, Sundram Fasteners Ltd, Yuken India Ltd, Sterling Abrasives Limited, TaeguTec India Pvt. Ltd, Edutech NTTF India Ltd, NTTF Industries Private Ltd, Bangalore International Exhibition Services Pvt. Ltd. And IMTMA Machine Tool Park.

He is the Member of Audit Committee and Remuneration Committee of the Company.

He is the Chairman of Audit Committee of Sundram Fasteners Ltd, ACE Designers Ltd., Member of Audit Committee of Yuken India Ltd, Kirloskar Oil Engines Limited, member of Remuneration Committee of Yuken India Ltd.

Mr. R. Srinivasan is an independent director and is being proposed for appointment as an independent director for a period of 5 years.

He does not hold any shares in the Company.

# TTK Prestige Limited

## 9. General Body Meetings

Location and time for last 3 Annual General Meetings were:

| Year | Location                                                                                        | Date       | Time       | No. of spl. resolutions passed |
|------|-------------------------------------------------------------------------------------------------|------------|------------|--------------------------------|
| 2011 | Ashok Leyland Management Development Centre, No.312, SIPCOT Industrial Complex, Hosur – 635 126 | 15.07.2011 | 12 Noon    | -                              |
| 2012 | Rennaaissancce Sarovar Portico, No.422, SIPCOT Phase II, Bengaluru Road, Hosur – 635 109        | 02.07.2012 | 10.15 a.m. | -                              |
| 2013 | Rennaaissancce Sarovar Portico, No. 422, SIPCOT Phase II, Bengaluru Road, Hosur – 635 109       | 15.07.2013 | 10.15 a.m. | 1                              |

## 10. Disclosures:

### (a) Related Party Disclosure :

During the year under review, no transaction of material nature has been entered into by the Company with its promoters, the directors or the management, their subsidiaries or relatives, etc., that may have potential conflict with the interests of the Company. The Register of Contracts containing transactions, in which directors are interested, is placed before the Board regularly.

### (b) Compliances by the Company

There has been no instance of non-compliance by the Company on any matter related to Capital Markets during the last three financial years. Hence, the question of penalties or strictures being imposed by SEBI, the Stock Exchanges or any statutory authorities does not arise.

### (c) Whistle Blower Policy

The Company does not have a formal whistle blower policy. However, access to Audit Committee is made available to every employee.

### (d) Code of conduct for prevention of Insider Trading

Pursuant to the requirements of the Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 1992 as amended, the Company has adopted a Code of Conduct for prevention of Insider Trading with effect from 29<sup>th</sup> January, 2008, modified from time to time. This Code of Conduct is applicable to all Directors and such designated employees of the company who are expected to have access to unpublished price sensitive information relating to the company.

### (e) The details of compliance with Mandatory / Non Mandatory requirements :

The Company has complied with all the mandatory requirements of the Corporate Governance Code including Board Composition, Audit Committee, Share Holders Grievance Committee, and Disclosures to be made to the Board and Audit Committee including related party transactions, Accounting treatments, Risk Management etc.

With respect to Non-mandatory requirements, the Company has a Remuneration Committee in place and has no qualifications in the Auditors Report.

## 11. Means of Communication

While the Annual Report is sent to household address of shareholders, quarterly results are published in leading newspapers and are also published on Company's website [www.ttkprestige.com](http://www.ttkprestige.com).

All other communications of the company related to the developments of the company are communicated to Stock Exchanges, Press and also published on the website of the company. Presentations, if any, made at Analysis Meets are displayed on the Company's website.

Management Discussion and Analysis Report is separately provided in this Annual Report as part of Directors' Report.

## 12. General Shareholder Information :

### a. - Date, Time and Venue of Annual General Meeting

- Date and Time 21<sup>st</sup> August, 2014, 11.00 a.m.
- Venue Plot No. 38, SIPCOT Industrial Complex, Hosur – 635126

### b. Financial Calendar

- Annual General Meeting 21.08.2014
- Quarterly Results - 30.6.2014 Second week of July, 2014
- Quarterly Results - 30.9.2014 Last week of October, 2014
- Quarterly Results - 31.12.2014 Last week of January, 2015
- Quarterly Audited/Annual Results - 31.3.2015 Last week of May, 2015

### c. Book Closure date

**13.08.2014 to 21.08.2014 for AGM (Both days inclusive)**

- d. **Dividend payment date**
- e. **Listing of Equity Shares on the Stock Exchanges at**

The dividend will be paid on 28<sup>th</sup> August, 2014

Your Company's shares are listed in Mumbai Stock Exchange and National Stock Exchange and the annual listing fees for these two stock exchanges have already been paid.

- f. **Stock Code**

Trading Symbol & Code  
Mumbai Stock Exchange  
National Stock Exchange

- TTK PRESTIGE - 517506
- TTKPRESTIG - EQ

- g. **Demat ISIN Numbers in NSDL & CDSL**

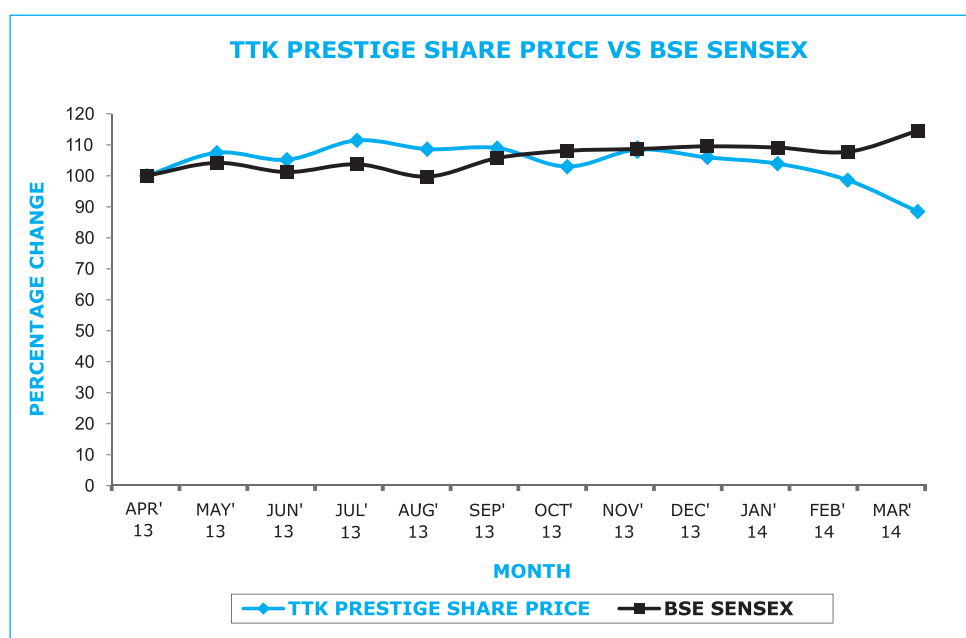
- **INE690A01010**

- h. **Stock Market Data**

| Month     | NATIONAL STOCK EXCHANGE |         |         | MUMBAI STOCK EXCHANGE |         |        |
|-----------|-------------------------|---------|---------|-----------------------|---------|--------|
|           | High                    | Low     | Volume  | High                  | Low     | Volume |
| Apr 2013  | 3506.95                 | 2870.10 | 767968  | 3499.00               | 2870.00 | 152074 |
| May 2013  | 3759.95                 | 3285.00 | 696419  | 3759.35               | 3281.20 | 168461 |
| Jun 2013  | 3685.70                 | 2970.25 | 603247  | 3680.00               | 2980.00 | 435121 |
| Jul 2013  | 3899.00                 | 3175.00 | 1016005 | 3899.00               | 3190.00 | 277045 |
| Aug 2013  | 3900.00                 | 3222.05 | 312841  | 3800.00               | 3250.00 | 57398  |
| Sept 2013 | 3825.00                 | 3287.15 | 256525  | 3811.80               | 3245.00 | 33839  |
| Oct 2013  | 3600.50                 | 3172.95 | 436829  | 3602.00               | 3175.75 | 64879  |
| Nov 2013  | 3718.00                 | 3211.10 | 447428  | 3795.00               | 3232.00 | 85045  |
| Dec 2013  | 3708.00                 | 3341.00 | 357438  | 3706.90               | 3325.00 | 50041  |
| Jan 2014  | 3616.15                 | 3215.00 | 303724  | 3636.00               | 3215.75 | 80894  |
| Feb 2014  | 3329.35                 | 2872.00 | 155446  | 3449.80               | 2873.00 | 18791  |
| Mar 2014  | 3100.00                 | 2693.00 | 584845  | 3095.00               | 2700.00 | 254312 |

- i) **Stock Performance Vs BSE Sensex:**

| Month     | TTK Share Price | % Change to Base | BSE Sensex | % Change to Base |
|-----------|-----------------|------------------|------------|------------------|
|           | High            |                  | High       |                  |
| Apr 2013  | 3499.00         | -                | 19622.68   | -                |
| May 2013  | 3759.35         | 7.4%             | 20443.62   | 4.2%             |
| Jun 2013  | 3680.00         | 5.2%             | 19860.19   | 1.2%             |
| Jul 2013  | 3899.00         | 11.4%            | 20351.06   | 3.7%             |
| Aug 2013  | 3800.00         | 8.6%             | 19569.20   | -0.3%            |
| Sept 2013 | 3811.80         | 8.9%             | 20739.69   | 5.7%             |
| Oct 2013  | 3602.00         | 2.9%             | 21205.44   | 8.1%             |
| Nov 2013  | 3795.00         | 8.5%             | 21321.53   | 8.7%             |
| Dec 2013  | 3706.90         | 5.9%             | 21483.74   | 9.5%             |
| Jan 2014  | 3636.00         | 3.9%             | 21409.66   | 9.1%             |
| Feb 2014  | 3449.80         | -1.4%            | 21140.51   | 7.7%             |
| Mar 2014  | 3095.00         | -11.5%           | 22467.21   | 14.5%            |



# TTK Prestige Limited

## j. Registrars & Transfer Agents:

Share transfer and communication regarding share certificates, dividends and change of address

Karvy Computershare (P) Limited  
Plot No. 17 to 24, Vittal Rao Nagar, Madhapur, Hyderabad - 500 081.

## k. Share Transfer system

In compliance of SEBI requirement, Share transfers are entertained, both under Demat Form and Physical Form.

Share Transfers in respect of physical shares are normally effected within 10-15 days from the date of receipt.

## l. Shareholding Pattern as on 31<sup>st</sup> March, 2014:

| CATEGORY  |                                                                                                                                        | NO. OF SHARES HELD | PERCENTAGE OF SHAREHOLDING |
|-----------|----------------------------------------------------------------------------------------------------------------------------------------|--------------------|----------------------------|
| <b>A.</b> | <b>Promoter's holding*</b><br>Promoters & their relatives                                                                              | 8192416            | 70.38                      |
| <b>B</b>  | <b>Non-Promoters Holding</b>                                                                                                           |                    |                            |
| 1.        | INSTITUTIONAL INVESTORS                                                                                                                |                    |                            |
|           | Mutual Funds                                                                                                                           | 241330             | 2.07                       |
|           | Financial Institutions/Banks                                                                                                           | 1544               | 0.01                       |
|           | FIIIs                                                                                                                                  | 2428759            | 20.87                      |
| 2.        | OTHERS                                                                                                                                 |                    |                            |
|           | a. Private Corporate Bodies                                                                                                            | 54969              | 0.47                       |
|           | b. Indian Public                                                                                                                       | 667730             | 5.74                       |
|           | c. NRIs**                                                                                                                              | 31930              | 0.27                       |
|           | d. Any Other (please specify)<br>Clearing Members<br>Directors/Relatives/Associates<br>(Independent and not in control of the company) | 14968<br>7544      | 0.13<br>0.06               |
|           | <b>GRAND TOTAL</b>                                                                                                                     | <b>11641190#</b>   | <b>100.00%</b>             |

\* Promoters include T.T. Krishnamachari & Co. represented by its partners and constituents of TTK Group. The constituents of TTK Group include TTK Healthcare Limited and relatives of the partners of T.T. Krishnamachari & Co.

\*\* The Company has not issued any GDRs/ADRs, Warrants & Convertible Instruments

# The issued capital of the company is 11668490. We have forfeited 28600 shares in December 2008. We have annulled forfeiture of 1300 shares so far.

## m. Distribution of Shareholding as on 31<sup>st</sup> March 2014 :

| Category (Amount) | Shareholders |               |                 | Shares           |               |
|-------------------|--------------|---------------|-----------------|------------------|---------------|
|                   | Nos.         | %             | Total Shares    | ₹                | %             |
| 1 - 5000          | 11841        | 98.43         | 564427          | 5644270          | 4.85          |
| 5001 - 10000      | 90           | 0.75          | 69688           | 696880           | 0.60          |
| 10001 - 20000     | 36           | 0.30          | 56421           | 564210           | 0.48          |
| 20001 - 30000     | 7            | 0.06          | 17458           | 174580           | 0.15          |
| 30001 - 40000     | 9            | 0.07          | 32500           | 325000           | 0.28          |
| 40001 - 50000     | 4            | 0.03          | 18155           | 181550           | 0.16          |
| 50001 - 100000    | 11           | 0.09          | 80435           | 804350           | 0.69          |
| 100001 & Above    | 32           | 0.27          | 10802106        | 108021060        | 92.79         |
| <b>Total</b>      | <b>12030</b> | <b>100.00</b> | <b>11641190</b> | <b>116411900</b> | <b>100.00</b> |

## n. Dematerialisation of Shares and Liquidity as on 31<sup>st</sup> March, 2014 :

|                                        | No. of Shareholders | No. of Shares   | % of Shares   |
|----------------------------------------|---------------------|-----------------|---------------|
| No. of Shareholders in Physical Mode   | 1711                | 235109          | 2.02          |
| No. of Shareholders in Electronic Mode | 10319               | 11406081        | 97.98         |
| <b>Total</b>                           | <b>12030</b>        | <b>11641190</b> | <b>100.00</b> |

| Days taken for Dematerialisation | No. of Requests | No. of Shares | % of Shares |
|----------------------------------|-----------------|---------------|-------------|
| 15 days                          | NIL             | NIL           | NIL         |

|                                 | National Securities<br>Depository Limited<br>(NSDL) |         | Central Depository<br>Services (I)<br>Limited (CDSL) |         |
|---------------------------------|-----------------------------------------------------|---------|------------------------------------------------------|---------|
|                                 | 2013-14                                             | 2012-13 | 2013-14                                              | 2012-13 |
| Number of Shares Dematerialised | 334082                                              | 14815   | 6200                                                 | 6400    |
| Number of Shares Rematerialised | 11                                                  | -       | -                                                    | 1       |

- o. Outstanding GDRs / ADRs/ Warrants or any convertible Instruments** The Company has not issued any GDRs/ADRs/ Warrants & Convertible instruments.
- p. Plant Locations** Plot Nos. 82 & 85, Sipcot Industrial Complex, Hosur – 635 126, Tamilnadu  
Plot No. 38, Sipcot Industrial Complex, Hosur – 635 126, Tamilnadu.  
Myleripalayam Village, Kovai Terku Coimbatore, Tamilnadu – 641 032.  
Plot No.1A & 2, Dev Bhoomi Industrial Estate, Roorkee, Uttarakhand – 247 667.  
Vermardi Road, Juni Jithardi Village, Karjan Taluka, Vadadara, Gujarat
- q. Registered Office** Plot No. 38, Sipcot Industrial Complex, Hosur – 635 126, Tamilnadu  
(During March 2009 the Registered Office was shifted from Bengaluru, Karnataka to Hosur, Tamilnadu)
- r. Other constituents of the TTK Group within the meaning of “Group” under SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 1997 include:**
- T.T. Krishnamachari & Co. and its partners & relatives of the partners
  - TTK Healthcare Limited
  - TTK Protective Devices Limited
  - TTK Services (P) Limited
  - TTK Property Services (P) Ltd.
  - TTK Tantex Limited
  - Cable & Wireless Networks India (P) Limited
  - CignaTTK Health Insurance Company Limited
  - Packwell Packaging Products Limited
  - Pharma Research & Analytical Laboratories
  - Peenya Packaging Products
  - TTK Partners LLP

### 13. DECLARATION/ CERTIFICATION

- a. **CODE OF CONDUCT** : The Board has laid down a Code of Conduct applicable to all the Directors and Senior Managers of the Company. Necessary certification to this effect is appended to this Corporate Governance Report.
- b. **CEO / CFO Certification** : As per requirements of Corporate Governance Code, the Managing Director and Chief Financial Officer have furnished the necessary Certificate to the Board of Directors with respect to financial statements and Cash flow statements for the year ended 31<sup>st</sup> March 2014.

### Declaration by Managing Director on Code of Conduct

I, S.Ravichandran, Managing Director of TTK Prestige Limited, do hereby declare that a formal code of Conduct has been laid down by the Board of Directors of TTK Prestige Ltd., which has been made applicable to all the Directors and Senior Managers of the Company. The Code of Conduct has been affirmed to by all the Directors and Senior Managers of the Company. The said code of conduct has been posted on the Website of the Company [www.ttkprestige.com](http://www.ttkprestige.com)

Place : Bengaluru

Date : 15<sup>th</sup> July, 2014

**S. RAVICHANDRAN**

Managing Director



# TTK Prestige Limited

## Auditors' Certificate on Compliance of Conditions of Corporate Governance under Clause 49 of the Listing Agreement

### To the Members of TTK Prestige Limited

To the Members of TTK Prestige Limited

We have examined the compliance of conditions of Corporate Governance by TTK Prestige Limited, for the year ended 31st March, 2014 as stipulated in Clause 49 of the Listing Agreement(s) entered into with the Stock Exchanges in India.

The compliance of conditions of Corporate Governance is the responsibility of the Company's Management. Our examination was limited to a review of the procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in the above mentioned Listing Agreement.

We state that in respect of investor grievances received during the year ended 31<sup>st</sup> March, 2014, no investor grievances are pending against the Company exceeding one month as per records maintained by the Company which are presented to the Shareholders/ Investors Grievance Committee.

We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the Company.

For **M/s S VISWANATHAN**  
Chartered Accountants  
Firm's Reg. No. 004770S

Place : Bengaluru  
Date : 15<sup>th</sup> July, 2014

**C N SRINIVASAN**  
Partner  
Membership No. 18205

## Independent Auditor's Report

To the Members of TTK Prestige Limited.

### Report on Financial Statements

We have audited the accompanying financial statements of TTK Prestige Limited ('the Company'), which comprise the Balance Sheet as at 31<sup>st</sup> March, 2014, and the Statement of Profit and Loss and Cash Flow Statement for the year then ended, and a summary of significant accounting policies and other explanatory information.

### Management's Responsibility for the Financial Statements

Management is responsible for the preparation of these financial statements that give a true and fair view of the financial position, financial performance and cash flows of the Company in accordance with the Accounting Standards referred to in sub-section (3C) of section 211 of the Companies Act, 1956 ("the Act"). This responsibility includes the design, implementation and maintenance of internal control relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

### Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with the Standards on Auditing issued by the Institute of Chartered Accountants of India. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Company's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of the accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

### Opinion

In our opinion and to the best of our information and according to the explanations given to us, the financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India:

- a) in the case of the Balance Sheet, of the state of affairs of the Company as at 31<sup>st</sup> March, 2014;
- b) in the case of the Profit and Loss Account, of the profit for the year ended on that date; and
- c) in the case of the Cash Flow Statement, of the cash flows for the year ended on that date.

### Emphasis of matter:

Without qualifying our opinion, we draw attention to Note No. 2.45 of Notes forming part of Financial Statement regarding Scheme of Demerger between TTK Prestige Limited and Triveni Bialelli Industries Private Limited. Pursuant to the approval of Share holders to the proposed Scheme of Demerger between TTK Prestige Limited (TTKPL) and Triveni Bialelli Industries Private Limited (TBI) for the purpose of transferring the Kitchen Appliances division of TBI to TTKPL, the Scheme has been approved by The Hon'ble High Court of Madras. Approval of Hon'ble High Court of Bombay is awaited. On the final sanction of the Scheme by The Hon'ble High Court of Bombay, books of accounts will be updated in accordance with applicable practices and for allotting of equity shares to the shareholders of TBI. Our opinion is not qualified in respect of this matter.

### Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2003 ("the Order") issued by the Central Government of India in terms of sub-section (4A) of section 227 of the Act, we give in the Annexure a statement on the matters specified in paragraphs 4 and 5 of the Order.
2. As required by section 227(3) of the Act, we report that:
  - a) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit
  - b) in our opinion proper books of account as required by law have been kept by the Company so far as appears from our examination of those books
  - c) the Balance Sheet, Statement of Profit and Loss, and Cash Flow Statement dealt with by this Report are in agreement with the books of account.
  - d) in our opinion, the Balance Sheet, Statement of Profit and Loss, and Cash Flow Statement comply with the Accounting Standards referred to in subsection (3C) of section 211 of the Companies Act, 1956;
  - e) on the basis of written representations received from the directors as on 31<sup>st</sup> March, 2014, and taken on record by the Board of Directors, none of the directors is disqualified as on 31<sup>st</sup> March, 2014, from being appointed as a director in terms of clause (g) of sub-section (1) of section 274 of the Companies Act, 1956.

For **M/s S. VISWANATHAN**  
Chartered Accountants  
Firm's Reg. No. 004770S

**C. N. SRINIVASAN**  
Partner  
Membership No.18205

Place : Bengaluru  
Date : 15<sup>th</sup> May, 2014

## TTK Prestige Limited

The Annexure referred to in our report to members of TTK Prestige Limited ('the Company') for the year ended 31<sup>st</sup> March 2014, we report that:

- (i) (a) The company has maintained proper records showing full particulars including quantitative details and situation of its fixed assets.  
(b) According to information and explanation given to us, fixed assets have been physically verified by the management at reasonable intervals; no material discrepancies were noticed on such verification.  
(c) In our opinion, the Company has not disposed off a substantial part of its fixed assets during the year and the going concern status of the Company is not affected.
- (ii) (a) The inventory has been physically verified during the year by the management. In our opinion, the frequency of verification is reasonable.  
(b) In our opinion and according to the information and explanations given to us, the procedures of physical verification of inventories followed by the management are reasonable and adequate in relation to the size of the company and the nature of its business.  
(c) In our opinion and on the basis of our examination of the records, the Company is maintaining proper records of its inventories. The discrepancies noticed on verification between physical inventories and book records were not material in relation to the operations of the Company and the same have been properly dealt with in the books of account.
- (iii) (a) According to the information and explanations given to us and on the basis of our examination of the books of account, the Company has not granted any loans, secured or unsecured, to companies, firms or other parties listed in the register maintained under Section 301 of the Companies Act, 1956. Consequently, the provisions of clauses iii(a), iii (b), iii(c) and iii (d) of the order are not applicable to the Company.  
(b) The company has taken loans from four parties covered in the register maintained under Section 301 of the Companies Act, 1956. The maximum amount involved during the year was ₹ 50 Lakhs and the year-end balance of the loans taken from such parties was ₹ 50 Lakhs.  
(c) In our opinion, the rate of interest and other terms and conditions on which loans have been taken from parties listed in the register maintained under Section 301 of the Companies Act, 1956 and are not, prima facie prejudicial to the interest of the company.  
(d) There is no overdue amount of loans and interest taken from the parties listed in the register maintained under Section 301 of the Companies Act, 1956.
- (iv) In our opinion and according to the information and explanations given to us, there is an adequate internal control system commensurate with the size of the company and the nature of its business, for the purchase of inventories & fixed assets and payment for expenses & for sale of goods. During the course of our audit, we have not observed any continuing failure to correct major weaknesses in the internal control system.
- (v) a) According to the information and explanations given to us, we are of the opinion that the transactions that need to be entered into the register under section 301 of the Companies Act, 1956 have so been entered  
(b) In our opinion and according to the information and explanations given to us, the transactions made in pursuance of such contracts or arrangements entered in the register maintained under section 301 of the Companies Act, 1956 and exceeding the value of ₹ 5 lakhs in respect of any party during the year, have been made at prices which are reasonable, having regard to prevailing market prices at the relevant time
- (vi) In our opinion and according to the information and explanations given to us, the Company has complied with the directives issued by the Reserve Bank of India and the provisions of section 58A and 58AA or any other relevant provisions of the Act and the rules framed there under in respect of the deposits accepted from the public. No order has been passed by the Company Law Board, or National Company Law Tribunal, or Reserve Bank of India, or any Court, or any other Tribunal.
- (vii) In our opinion the Company has an internal audit system commensurate with its size and the nature of its business.
- (viii) The Central Government has prescribed the maintenance of cost records under Section 209(1)(d) of the Companies Act, 1956 for Aluminium, Stainless Steel Pressure Cookers and Non-stick Cookware manufactured by the Company. In our opinion and according to information given to us such accounts and records have been maintained by the Company.
- (ix) a) According to information and explanation given to us and according to the books and records produced and examined by us, in our opinion the Company is generally regular in depositing undisputed statutory dues including Provident Fund, Employees' State Insurance, Income-tax, Sales-tax, Wealth Tax, Service Tax, Custom Duty, Excise Duty, cess to the extent applicable and other material statutory dues have generally been regularly deposited with the appropriate authorities. According to the information and explanations given to us there were no outstanding statutory dues as mentioned above as at 31<sup>st</sup> March, 2014 for a period of more than six months from the date they became payable.

(b) According to the information and explanation s given to us, the following are the particulars of disputed dues on account of Sales tax and Income tax as at 31<sup>st</sup> March, 2014:

| Name of the Statute                           | Nature of Dues | Amount under dispute not yet deposited<br>(₹ In Lakhs) | Forum where the dispute is pending                        |
|-----------------------------------------------|----------------|--------------------------------------------------------|-----------------------------------------------------------|
| Central Sales Tax Act and Local Sales Tax Act | Sales Tax      | 220.14                                                 | Karnataka High Court                                      |
| Central Sales Tax Act and Local Sales Tax Act | Sales tax      | 35.24                                                  | Various authorities up to the level of Appellate Tribunal |
| Income Tax Act                                | Income Tax     | 177.36                                                 | CIT (Appeals)                                             |

- (x) The Company does not have any accumulated loss and has not incurred cash loss during the financial year covered by our audit and in the immediately preceding financial year.
- (xi) Based on our audit procedures and on the information and explanations given by the management, we are of the opinion that, the Company has not defaulted in repayment of dues to a financial institution, bank or debenture holders.
- (xii) According to the information and explanations given to us, the Company has not granted loans and advances on the basis of security by way of pledge of shares, debentures and other securities.
- (xiii) The Company is not a chit fund or a nidhi /mutual benefit fund/society. Therefore, the provision of this clause of the Companies (Auditor's Report) Order, 2003 (as amended) is not applicable to the Company.
- (xiv) In our opinion and according to the information and explanation given to us, the Company is not dealing in or trading in shares, securities, debentures and other investments.
- (xv) According to the information and explanations given to us, the Company has not given any guarantees for loan taken by others from a bank or financial institution.
- (xvi) According to the information and explanations given to us and the records examined by us, on an overall basis, the term loan obtained by the Company was applied for the purpose for which the loan was obtained.
- (xvii) Based on the information and explanations given to us and on an overall examination of the Balance Sheet of the Company, in our opinion there are no funds raised on a short-term basis which have been used for long-term investments.
- (xviii) During the year, the Company has not made any preferential allotment of shares to companies / firms/ parties covered in the register maintained under Section 301 of the Companies Act, 1956.
- (xix) The Company has no outstanding debentures during the period under audit.
- (xx) The Company has not raised any money by public issue during the year. However, during the year the Company has made preferential allotment of 3,00,000 shares to Cartica Capital Limited.
- (xxi) According to information and explanations given to us, no fraud on or by the company has been noticed or reported during the course of our audit.

For **M/s S. VISWANATHAN**  
Chartered Accountants  
Firm's Reg. No. 004770S

**C. N. SRINIVASAN**  
Partner  
Membership No.18205

Place : Bengaluru  
Date : 15<sup>th</sup> May, 2014

# TTK Prestige Limited

## Balance Sheet as at 31<sup>st</sup> March, 2014

(₹ IN LAKHS)

| Particulars                                                                                                                                                                                                                                      | Note No          | As at the end<br>31 <sup>st</sup> March 2014                                                                                                                                                                                                                                                             | As at the end<br>31 <sup>st</sup> March 2013 |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------|
| <b>EQUITY AND LIABILITIES</b>                                                                                                                                                                                                                    |                  |                                                                                                                                                                                                                                                                                                          |                                              |
| Shareholders' funds                                                                                                                                                                                                                              |                  |                                                                                                                                                                                                                                                                                                          |                                              |
| (a) Share Capital                                                                                                                                                                                                                                | 2.1              | 1165.48                                                                                                                                                                                                                                                                                                  | 1135.48                                      |
| (b) Reserves and Surplus                                                                                                                                                                                                                         | 2.2              | 57365.89                                                                                                                                                                                                                                                                                                 | 38410.82                                     |
|                                                                                                                                                                                                                                                  |                  | <b>58531.37</b>                                                                                                                                                                                                                                                                                          | <b>39546.30</b>                              |
| Non-Current Liabilities                                                                                                                                                                                                                          |                  |                                                                                                                                                                                                                                                                                                          |                                              |
| (a) Long-Term Borrowings                                                                                                                                                                                                                         | 2.3              | 43.22                                                                                                                                                                                                                                                                                                    | 95.97                                        |
| (b) Deferred Tax Liabilities (Net)                                                                                                                                                                                                               | 2.4              | 2052.93                                                                                                                                                                                                                                                                                                  | 1011.50                                      |
| (c) Other Long -Term Liabilities                                                                                                                                                                                                                 | 2.5              | 500.00                                                                                                                                                                                                                                                                                                   | 500.00                                       |
| (d) Long-Term Provisions                                                                                                                                                                                                                         | 2.6              | 411.60                                                                                                                                                                                                                                                                                                   | 782.07                                       |
|                                                                                                                                                                                                                                                  |                  | <b>3007.75</b>                                                                                                                                                                                                                                                                                           | <b>2389.54</b>                               |
| Current Liabilities                                                                                                                                                                                                                              |                  |                                                                                                                                                                                                                                                                                                          |                                              |
| (a) Short-Term Borrowings                                                                                                                                                                                                                        | 2.7              | 2537.63                                                                                                                                                                                                                                                                                                  | 11354.54                                     |
| (b) Trade Payables                                                                                                                                                                                                                               | 2.8              | 12301.01                                                                                                                                                                                                                                                                                                 | 12332.98                                     |
| (c) Other Current Liabilities                                                                                                                                                                                                                    | 2.9              | 7671.60                                                                                                                                                                                                                                                                                                  | 9187.82                                      |
| (d) Short-Term Provisions                                                                                                                                                                                                                        | 2.10             | 3130.46                                                                                                                                                                                                                                                                                                  | 4260.56                                      |
|                                                                                                                                                                                                                                                  |                  | <b>25640.70</b>                                                                                                                                                                                                                                                                                          | <b>37135.90</b>                              |
| <b>TOTAL</b>                                                                                                                                                                                                                                     |                  | <b>87179.82</b>                                                                                                                                                                                                                                                                                          | <b>79071.74</b>                              |
| <b>ASSETS</b>                                                                                                                                                                                                                                    |                  |                                                                                                                                                                                                                                                                                                          |                                              |
| Non-Current Assets                                                                                                                                                                                                                               |                  |                                                                                                                                                                                                                                                                                                          |                                              |
| (a) Fixed Assets                                                                                                                                                                                                                                 |                  |                                                                                                                                                                                                                                                                                                          |                                              |
| (i) Tangible Assets                                                                                                                                                                                                                              | 2.11             | 33777.73                                                                                                                                                                                                                                                                                                 | 16584.22                                     |
| (ii) Intangible Assets                                                                                                                                                                                                                           | 2.12             | 184.00                                                                                                                                                                                                                                                                                                   | 225.33                                       |
| (iii) Capital Work-in-Progress                                                                                                                                                                                                                   | 2.13             | 2430.57                                                                                                                                                                                                                                                                                                  | 14007.92                                     |
| (b) Non-Current Investments                                                                                                                                                                                                                      | 2.14             | 1.65                                                                                                                                                                                                                                                                                                     | 1.65                                         |
| (c) Long-Term Loans and Advances                                                                                                                                                                                                                 | 2.15             | 902.05                                                                                                                                                                                                                                                                                                   | 2244.68                                      |
|                                                                                                                                                                                                                                                  |                  | <b>37296.00</b>                                                                                                                                                                                                                                                                                          | <b>33063.80</b>                              |
| Current Assets                                                                                                                                                                                                                                   |                  |                                                                                                                                                                                                                                                                                                          |                                              |
| (a) Current Investments                                                                                                                                                                                                                          | 2.16             | 902.51                                                                                                                                                                                                                                                                                                   | -                                            |
| (b) Inventories                                                                                                                                                                                                                                  | 2.17             | 26681.00                                                                                                                                                                                                                                                                                                 | 23552.71                                     |
| (c) Trade Receivables                                                                                                                                                                                                                            | 2.18             | 14911.05                                                                                                                                                                                                                                                                                                 | 14320.70                                     |
| (d) Cash and Cash Equivalents                                                                                                                                                                                                                    | 2.19             | 2960.15                                                                                                                                                                                                                                                                                                  | 3255.07                                      |
| (e) Short-Term Loans and Advances                                                                                                                                                                                                                | 2.20             | 4037.99                                                                                                                                                                                                                                                                                                  | 4729.48                                      |
| (f) Other Current Assets                                                                                                                                                                                                                         | 2.21             | 391.12                                                                                                                                                                                                                                                                                                   | 149.98                                       |
|                                                                                                                                                                                                                                                  |                  | <b>49883.82</b>                                                                                                                                                                                                                                                                                          | <b>46007.94</b>                              |
| <b>TOTAL</b>                                                                                                                                                                                                                                     |                  | <b>87179.82</b>                                                                                                                                                                                                                                                                                          | <b>79071.74</b>                              |
| <b>Significant Accounting Policies and Notes on Accounts</b>                                                                                                                                                                                     | <b>1 &amp; 2</b> |                                                                                                                                                                                                                                                                                                          |                                              |
| As per our report attached<br>For <b>Messrs. S. VISWANATHAN</b><br>Chartered Accountants<br>Firm's Registration Number : 004770S<br><br><b>C.N. SRINIVASAN</b><br>Partner<br>Membership No. 18205<br><br>Bengaluru<br>15 <sup>th</sup> May, 2014 |                  | <b>For and on behalf of the Board</b><br><br><b>T.T. Jagannathan</b><br>Executive Chairman<br><br><b>S. Ravichandran</b><br>Managing Director<br><br><b>Dileep K. Krishnaswamy</b><br>Director<br><br><b>K. Shankaran</b><br>Director & Secretary<br><br><b>V. Sundaresan</b><br>Chief Financial Officer |                                              |



Profit and loss statement for the year ended 31<sup>st</sup> March, 2014

(₹ IN LAKHS)

| Particulars                                                               | Note No.               | For the year ended 31 <sup>st</sup> March 2014 |                  | For the year ended 31 <sup>st</sup> March 2013 |                  |
|---------------------------------------------------------------------------|------------------------|------------------------------------------------|------------------|------------------------------------------------|------------------|
| <b>1. Revenue from Operations</b>                                         |                        |                                                |                  |                                                |                  |
| (a) Sale of Products                                                      |                        | 131599.92                                      |                  | 137767.07                                      |                  |
| (b) Other Operating Revenues:                                             |                        |                                                |                  |                                                |                  |
| Sale of Scrap                                                             |                        | 737.84                                         | 132337.76        | 821.93                                         | 138589.00        |
| Less :                                                                    |                        |                                                |                  |                                                |                  |
| (c) Excise Duty                                                           |                        |                                                | 2954.80          |                                                | 2740.61          |
|                                                                           |                        |                                                | <b>129382.96</b> |                                                | <b>135848.39</b> |
| <b>2. Other Income</b>                                                    | <b>2.22</b>            |                                                | <b>787.52</b>    |                                                | <b>473.23</b>    |
| <b>3. Total Revenue (1 + 2)</b>                                           |                        |                                                | <b>130170.48</b> |                                                | <b>136321.62</b> |
| <b>4. Expenses:</b>                                                       |                        |                                                |                  |                                                |                  |
| a) Cost of Materials Consumed                                             |                        | 36698.52                                       |                  | 36694.66                                       |                  |
| b) Purchase of Stock - in - Trade                                         |                        | 38267.95                                       |                  | 45790.78                                       |                  |
| c) Changes in Inventory of:                                               |                        |                                                |                  |                                                |                  |
| (i) Work in Progress                                                      |                        | (539.65)                                       |                  | (130.35)                                       |                  |
| (ii) Finished Goods                                                       |                        | (307.86)                                       |                  | (4121.76)                                      |                  |
| (iii) Stock in Trade                                                      |                        | (884.08)                                       |                  | (576.69)                                       |                  |
|                                                                           |                        | (1731.59)                                      | 73234.88         | (4828.80)                                      | 77656.64         |
| d) Employee Benefits Expense                                              | <b>2.23</b>            |                                                | 9100.10          |                                                | 8358.04          |
| e) Finance Costs                                                          | <b>2.24</b>            |                                                | 853.56           |                                                | 1426.53          |
| f) Depreciation and Amortization Expense                                  | <b>2.11 &amp; 2.12</b> |                                                | 1477.15          |                                                | 899.02           |
| g) Other Expenses                                                         | <b>2.25</b>            |                                                | 31025.67         |                                                | 29460.92         |
| <b>Total expenses</b>                                                     |                        |                                                | <b>115691.36</b> |                                                | <b>117801.15</b> |
| <b>5. Profit before Exceptional and Extraordinary Items and Tax (3-4)</b> |                        |                                                | <b>14479.12</b>  |                                                | <b>18520.47</b>  |
| <b>6. Exceptional Items</b>                                               | <b>2.26</b>            |                                                | <b>695.92</b>    |                                                | -                |
| <b>7. Profit before Extraordinary Items and Tax (5-6)</b>                 |                        |                                                | <b>15175.04</b>  |                                                | <b>18520.47</b>  |
| <b>8. Extraordinary Items</b>                                             |                        |                                                | -                |                                                | -                |
| <b>9. Profit Before Tax (7-8)</b>                                         |                        |                                                | <b>15175.04</b>  |                                                | <b>18520.47</b>  |
| <b>10. Tax Expense :</b>                                                  |                        |                                                |                  |                                                |                  |
| (1) Current Tax(MAT)                                                      |                        | 3170.27                                        |                  | 4880.84                                        |                  |
| Less: MAT Credit Entitlement                                              |                        | 215.88                                         |                  | 0.00                                           |                  |
|                                                                           |                        | 2954.39                                        |                  | 4880.84                                        |                  |
| (2) Deferred Tax                                                          |                        | 1041.43                                        | <b>3995.82</b>   | 330.66                                         | <b>5211.50</b>   |
| <b>11. Profit After Tax (9-10)</b>                                        |                        |                                                | <b>11179.22</b>  |                                                | <b>13308.97</b>  |
| <b>12. Earnings per Equity Share: (in Rupees)</b>                         |                        |                                                |                  |                                                |                  |
| (1) Basic                                                                 |                        |                                                | 96.78            |                                                | 117.35           |
| (2) Diluted                                                               |                        |                                                | 96.78            |                                                | 117.35           |
| <b>Significant Accounting Policies and Notes on Accounts</b>              | <b>1 &amp; 2</b>       |                                                |                  |                                                |                  |

As per our report attached  
For **Messrs. S. VISWANATHAN**  
Chartered Accountants  
Firm's Registration Number : 004770S

**C.N. SRINIVASAN**  
Partner  
Membership No. 18205  
Bengaluru  
15<sup>th</sup> May, 2014

**For and on behalf of the Board**

**T.T. Jagannathan**  
Executive Chairman

**Dileep K. Krishnaswamy**  
Director

**V. Sundaresan**  
Chief Financial Officer

**S. Ravichandran**  
Managing Director

**K. Shankaran**  
Director & Secretary

# TTK Prestige Limited

## Cash flow Statement for the year ended 31<sup>st</sup> March, 2014

(As per Accounting Standard AS(3) issued by the Institute of Chartered Accountants of India)

(₹ IN LAKHS)

| Particulars                                                                                                                     | As at<br>31 <sup>st</sup> March<br>2014         | As at<br>31 <sup>st</sup> March<br>2013     |
|---------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------|---------------------------------------------|
| <b>A. CASH FLOW FROM OPERATING ACTIVITIES</b>                                                                                   |                                                 |                                             |
| Net Profit before taxation and extraordinary items:                                                                             | 15175.04                                        | 18520.47                                    |
| Additions                                                                                                                       |                                                 |                                             |
| Depreciation                                                                                                                    | 1477.15                                         | 899.02                                      |
| Profit on Sale of Assets                                                                                                        | (2.18)                                          | (3.53)                                      |
| Interest Expenses                                                                                                               | 853.56                                          | 1426.53                                     |
| Interest, Dividend & Commission Received                                                                                        | (617.70)                                        | (321.74)                                    |
| Cash generated from operations before Working Capital Changes                                                                   | <b>16885.87</b>                                 | <b>20520.75</b>                             |
| Adjustments for:                                                                                                                |                                                 |                                             |
| (Increase)/Decrease in Debtors                                                                                                  | (590.35)                                        | (3716.99)                                   |
| (Increase)/Decrease in Inventories                                                                                              | (3128.29)                                       | (6063.09)                                   |
| Increase/(Decrease) in Creditors                                                                                                | (1962.17)                                       | 4954.38                                     |
| (Increase)/Decrease in Other Receivables                                                                                        | 2006.55                                         | (2769.87)                                   |
| Cash generated from Operations                                                                                                  | <b>13211.61</b>                                 | <b>12925.18</b>                             |
| Direct Taxes Paid                                                                                                               | <b>(4707.55)</b>                                | <b>(3242.02)</b>                            |
| <b>Net Cash Flow from Operation before extra ordinary item</b>                                                                  | <b>8504.06</b>                                  | <b>9683.16</b>                              |
| <b>B. CASH FLOW FROM/ (USED IN) INVESTING ACTIVITIES</b>                                                                        |                                                 |                                             |
| (Purchase)/Sale of Fixed Assets                                                                                                 | (7049.85)                                       | (9235.77)                                   |
| Purchase of Investments                                                                                                         | (902.51)                                        | -                                           |
| Deposits                                                                                                                        | -                                               | (2.10)                                      |
| Capital subsidy received                                                                                                        | -                                               | 30.00                                       |
| Interest, Dividend & Commission Received                                                                                        | 617.70                                          | 321.74                                      |
| <b>Net Cash from / (used in) Investing Activities</b>                                                                           | <b>(7334.66)</b>                                | <b>(8886.13)</b>                            |
| <b>C. CASH FLOW FROM FINANCING ACTIVITIES</b>                                                                                   |                                                 |                                             |
| (Refund)/Acceptance of Deposit                                                                                                  | (11.25)                                         | (16.11)                                     |
| Increase(Decrease) in Bank Borrowings                                                                                           | (8809.39)                                       | 3586.10                                     |
| Issue of Shares and share premium                                                                                               | 10529.77                                        | -                                           |
| Interest Paid                                                                                                                   | (853.56)                                        | (1426.53)                                   |
| Dividend Paid                                                                                                                   | (2322.01)                                       | (1973.64)                                   |
| (including dividend distribution tax)                                                                                           |                                                 |                                             |
| <b>Net Cash from / (used in) Financing Activities</b>                                                                           | <b>(1466.44)</b>                                | <b>169.82</b>                               |
| <b>Net increase / (decrease) in Cash and Cash Equivalents</b>                                                                   | <b>(297.04)</b>                                 | <b>966.85</b>                               |
| <b>Cash and Cash Equivalents at the beginning of the year</b>                                                                   | <b>3174.86</b>                                  | <b>2208.01</b>                              |
| <b>Cash and Cash Equivalents at the end of the year*</b>                                                                        | <b>2877.82</b>                                  | <b>3174.86</b>                              |
| <b>* Cash and cash equivalents comprise of balances in current accounts, Margin money for LC's and Cash Balances.</b>           |                                                 |                                             |
| <b>For and on behalf of the Board</b>                                                                                           |                                                 |                                             |
| As per our report attached<br>For <b>Messrs S. VISWANATHAN</b><br>Chartered Accountants<br>Firm's Registration Number : 004770S | <b>T.T. Jagannathan</b><br>Executive Chairman   | <b>S. Ravichandran</b><br>Managing Director |
| <b>C.N. SRINIVASAN</b><br>Partner<br>Membership No. 18205                                                                       | <b>Dileep K. Krishnaswamy</b><br>Director       | <b>K. Shankaran</b><br>Director & Secretary |
| Bengaluru<br>15 <sup>th</sup> May, 2014                                                                                         | <b>V. Sundaresan</b><br>Chief Financial Officer |                                             |

NOTES ON ACCOUNTS FOR THE YEAR ENDED 31<sup>st</sup> MARCH, 2014**1. Significant Accounting Policies and Notes on Accounts:****1.1. Basis for preparation of accounts:**

The Accounts have been prepared to comply in all material aspects with applicable Accounting Principles in India, the applicable Accounting Standards notified under Section 211(3C) of The Companies Act 1956 and the relevant provisions thereof. Financial Statements are prepared based on historical cost and on the basis of a going concern. The Company follows the mercantile system of Accounting and recognizes income and expenditure on an accrual basis.

**1.2. Fixed Assets:**

Fixed Assets are stated at cost of acquisition inclusive of freight, taxes, insurance etc. relating to the acquisition including installation/erection charges up to the date the asset is put to use, as applicable.

Borrowing costs attributable to acquisition /construction or production of a qualifying asset is capitalized as a part of cost of the asset.

**Depreciation:**

The Company is providing depreciation on Written Down Value (WDV) method by adopting the rates specified in Schedule XIV of the Companies Act, 1956 in respect of all Fixed Assets capitalized up to 31st March, 1997. In respect of additions from 1st April 1997, the Company is providing depreciation by adopting Straight Line method specified in Schedule XIV of the Companies Act, 1956. ERP Software, being intangible asset is depreciated at 20% on straight line basis in line with AS 26. Depreciation on additions during the year is provided on pro-rata basis.

Leasehold land is amortized over the period of the Lease.

**1.3. Revenue Recognition:**

Sales are stated at net of returns and sales tax. The Excise Duty relatable to sales is separately disclosed and deducted from Sales. Sales Revenue is recognized when significant risks and rewards of ownership of the goods have passed to the buyer.

Dividend income from investments is accounted for when the right to receive the payment is established.

Interest Income is recognized on a time proportion basis taking in to account the amount outstanding and the rate applicable.

**1.4. Investments:**

Investments are classified into Current and Non Current Investments. Current Investments are stated at the lower of cost and fair value. Non Current Investments are stated at cost.

**1.5. Impairment of Assets:**

Impairment loss, if any is provided to the extent, the carrying amount of the assets exceeds their recoverable amount. Recoverable amount is higher of an asset's net selling price and its value in use. Value in use is the present value of estimated future cash flows expected to arise from the continuing use of an asset and from its disposal at the end of its useful life.

**1.6. Trade Receivables and Loans and advances:**

Sundry Debtors and Loans and advances are stated after making adequate provisions for doubtful balances.

**1.7. Provisions:**

A Provision is recognized when there is a present obligation as a result of a past event, it is probable that an outflow of resources will be required to settle the obligation and in respect of which reliable estimate can be made. Provision is not discounted to its present value and is determined based on the best estimate required to settle the obligation at the year end date. These are reviewed at each year end date and adjusted to reflect the best current estimate.

**1.8. Retirement /Post Retirement Benefits:**

The Company also provides for retirement/post retirement benefits in the form of Gratuity, Pension, and Leave Encashment. Such benefits are provided for based on the valuations, as at the Balance Sheet date, made by independent actuaries. Termination benefits are recognized as an expense as and when incurred.

**1.9. Taxes on Income:**

Current Tax is determined as the amount of tax payable in respect of taxable income for the period.

Deferred tax is recognized, subject to the consideration of prudence, on timing differences, being the difference between the taxable incomes and accounting income that originate in one period and are capable of reversal in one or more subsequent periods. Deferred tax assets are not recognized on unabsorbed depreciation and carry forward of losses unless there is virtual certainty that sufficient future taxable income will be available against which such deferred tax asset can be realized.

**1.10. Foreign Currency Transactions:**

Transactions in foreign currency are recorded at exchange rates prevailing at the time of the transactions and exchange difference arising from foreign currency transaction are dealt with in the profit and loss account and capitalized where they relate to the Fixed Assets. Current Assets and Liabilities at year end are being converted at closing rates and exchange gains /losses are dealt with in the profit and loss account, as per AS 11.

**1.11. Grant / subsidies**

Grant / subsidy received under "Central Investment Subsidy Scheme" is directly credited to capital reserve.

**1.12. Inventories**

Inventories are valued at lower of cost, computed on a weighted average basis and estimated net realizable value, after providing for cost of obsolescence and other anticipated losses, wherever considered necessary. Finished goods and work in Progress include cost of conversion and other costs incurred in bringing the inventories to their present location and condition.

**1.13. Borrowing costs**

Borrowing costs that are attributable to the acquisition or construction of qualifying assets are capitalized as part of cost of such asset. As per AS-16 "Borrowing costs", a qualifying asset is one that takes necessarily substantial period of time to get ready for its intended use. All the other borrowing costs are expensed as and when incurred.

**1.14. Earnings per share**

Basic earnings per share is calculated by dividing the net profit or loss for the year attributable to equity share holders by weighted average number of equity shares outstanding during the year. For the purpose of calculating diluted earnings per share, the net profit or loss for the year attributable to equity share holders and weighted average number of shares outstanding during the year are adjusted for the effects of dilutive part of equity shares, if any.

**1.15. Segment Reporting**Identification of Segments

The Company has complied with AS 17 "Segment Reporting" with the business as its primary segment. The risk and awards are very similar in different geographical areas and hence there is no reportable secondary segment as defined in AS-17.

Segment Policies

(i) Revenues have been identified to segments on the basis of their relationship to the operative activities of the segment. Revenues and expenses that relate to the enterprise as a whole and are not allocable to segments on a reasonable basis have been included under "Un-allocable expenses".

(ii) Inter segment revenue and expense are eliminated.

NOTES ON ACCOUNTS FOR THE YEAR ENDED 31<sup>st</sup> MARCH, 2014

(₹ IN LAKHS)

## 2.1 SHARE CAPITAL

## (A) Authorised, Issued, Subscribed and Paid Up Share Capital

| Particulars                                                                                                                                         | As at<br>31 <sup>st</sup> March 2014 | As at<br>31 <sup>st</sup> March 2013 |
|-----------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------|--------------------------------------|
| <b>Authorised Share Capital:</b><br>1,50,00,000 Equity Shares of ₹ 10/- each<br>(Previous Year 1,50,00,000 Equity Shares of ₹ 10/- each)            | 1500.00                              | 1500.00                              |
| <b>Issued and Subscribed Share Capital:</b><br>1,16,68,490 Equity Shares of ₹ 10/- each<br>(Previous Year 1,13,68,490 Equity Shares of ₹ 10/- each) | 1166.85                              | 1136.85                              |
| <b>Paid Up Share Capital:</b><br>1,16,41,190 Equity Shares of ₹ 10 each<br>(Previous Year 1,13,41,190 Equity Shares of ₹ 10/- each)                 | 1164.12                              | 1134.12                              |
| Add : 27,300 Equity Shares Forfeited (₹ 5/- paid-up)                                                                                                | 1.36                                 | 1.36                                 |
|                                                                                                                                                     | <b>1165.48</b>                       | <b>1135.48</b>                       |

1. Paid Up Share Capital of 1,16,41,190 shares (Previous Year : 1,13,41,190 shares) includes 78,69,064 shares of ₹ 10 each allotted as Bonus Shares fully paid-up by capitalisation of reserves and 20106 shares issued to shareholders of M/s. Prestige Housewares India Limited (PHIL) consequent to merger of PHIL with TTK Prestige Limited. This also includes 3,00,000 Equity shares of ₹ 10 each allotted on preferential basis to M/s. Cartica Capital Limited during the financial year.
2. There was no issue/buy back of shares of the nature mentioned in clause (i) of note 6A of general instructions to Schedule VI in the last five years.

## (B) Reconciliation of number of Equity Shares outstanding at the beginning and at the end of the year

| Particulars                                                         | As at<br>31 <sup>st</sup> March 2014 | As at<br>31 <sup>st</sup> March 2013 |
|---------------------------------------------------------------------|--------------------------------------|--------------------------------------|
| <b>Number of shares outstanding as at the beginning of the year</b> | <b>11341190</b>                      | <b>11321084</b>                      |
| Add : Number of shares issued during the year                       | 300000                               | 20106                                |
| <b>Number of shares outstanding as at the end of the year</b>       | <b>11641190</b>                      | <b>11341190</b>                      |

## (C) Shares in the company held by each shareholder holding more than 5% shares

| Sl. No. | Name of the Share Holder                              | Number of shares held in the Company | Percentage of shares held |
|---------|-------------------------------------------------------|--------------------------------------|---------------------------|
| 1       | T.T. Krishnamachari & Co. represented by its partners | 6988747                              | 60.03%                    |
| 2       | M/s. Cartica Capital Limited                          | 850303                               | 7.30%                     |

## 2.2 RESERVES AND SURPLUS

| Particulars                                                                                                                                                                                                                                                                                                                                 | As at<br>31 <sup>st</sup> March<br>2013 | Additions/<br>Created<br>during the<br>year | Deduction<br>during the<br>year | As at<br>31 <sup>st</sup> March<br>2014 |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------|---------------------------------------------|---------------------------------|-----------------------------------------|
| (a) Capital Reserve<br>(Amount received under Central Investment scheme)                                                                                                                                                                                                                                                                    | 73.72                                   | -                                           | -                               | 73.72                                   |
| (b) Securities Premium Reserve<br>Add : Premium on Forfeited shares                                                                                                                                                                                                                                                                         | 592.26<br>10.92                         | 10620.00                                    | 120.23                          | 11092.03<br>10.92                       |
|                                                                                                                                                                                                                                                                                                                                             | <b>603.18</b>                           | 10620.00                                    | 120.23                          | <b>11102.95</b>                         |
| (c) Revaluation Reserve                                                                                                                                                                                                                                                                                                                     | 214.74                                  |                                             |                                 | 214.74                                  |
| (d) General Reserve                                                                                                                                                                                                                                                                                                                         | 10509.84                                | 1200.00                                     |                                 | 11709.84                                |
| (e) Surplus in Profit & Loss Account                                                                                                                                                                                                                                                                                                        | 27009.34                                | 7255.30                                     |                                 | 34264.64                                |
|                                                                                                                                                                                                                                                                                                                                             | <b>38410.82</b>                         | <b>19075.30</b>                             | 120.23                          | <b>57365.89</b>                         |
| Notes                                                                                                                                                                                                                                                                                                                                       | <b>2014</b>                             | <b>2013</b>                                 |                                 |                                         |
| f) Profit for the year                                                                                                                                                                                                                                                                                                                      |                                         | 11179.22                                    |                                 | 13308.97                                |
| Less: Dividend on Equity Shares                                                                                                                                                                                                                                                                                                             | 2328.24                                 |                                             | 1984.71                         |                                         |
| Tax on Distributed Profits on Equity Shares                                                                                                                                                                                                                                                                                                 | 395.68                                  |                                             | 337.30                          |                                         |
| Transfer to General Reserve                                                                                                                                                                                                                                                                                                                 | 1200.00                                 | 3923.92                                     | 1500.00                         | 3822.01                                 |
| <b>Balance carried to balance sheet</b>                                                                                                                                                                                                                                                                                                     |                                         | <b>7255.30</b>                              |                                 | <b>9486.96</b>                          |
| g) Addition to Securities Premium Reserve represents an amount of ₹ 10620 lakhs of share premium received during the year, on account of Preferential Issue of 300000 equity shares at the premium of ₹ 3540 per share to M/s. Cartica Capital Limited. Deduction from this account represents expenses incurred on the preferential issue. |                                         |                                             |                                 |                                         |

**NOTES ON ACCOUNTS FOR THE YEAR ENDED 31<sup>st</sup> MARCH, 2014**

(₹ IN LAKHS)

**2.3 LONG TERM BORROWINGS**

| Particulars                       | As at 31 <sup>st</sup> March, 2014 |              | As at 31 <sup>st</sup> March 2013 |              |
|-----------------------------------|------------------------------------|--------------|-----------------------------------|--------------|
| <b>FIXED DEPOSITS (Unsecured)</b> |                                    |              |                                   |              |
| (i) from Directors                | -                                  |              | 14.00                             |              |
| (ii) Others                       | 43.22                              | 43.22        | 81.97                             | 95.97        |
| <b>Total</b>                      |                                    | <b>43.22</b> |                                   | <b>95.97</b> |

**2.4 DEFERRED TAX LIABILITY (NET)**

| Particulars                    | As at 31 <sup>st</sup> March, 2014 | As at 31 <sup>st</sup> March 2013 |
|--------------------------------|------------------------------------|-----------------------------------|
| Deferred Tax Liabilities       | 2136.22                            | 1098.53                           |
| Deferred Tax Assets            | (83.29)                            | (87.03)                           |
| Deferred Tax Liabilities (Net) | <b>2052.93</b>                     | <b>1011.50</b>                    |

**2.5 OTHER LONG TERM LIABILITY**

| Particulars          | As at 31 <sup>st</sup> March, 2014 | As at 31 <sup>st</sup> March 2013 |
|----------------------|------------------------------------|-----------------------------------|
| Property Development | 500.00                             | 500.00                            |
| <b>Total</b>         | <b>500.00</b>                      | <b>500.00</b>                     |

**2.6 LONG-TERM PROVISIONS**

| Particulars                                                 | As at 31 <sup>st</sup> March, 2014 | As at 31 <sup>st</sup> March 2013 |
|-------------------------------------------------------------|------------------------------------|-----------------------------------|
| Provision for Employee Benefits - Gratuity/Leave Encashment | 147.06                             | 121.07                            |
| Others-Warranties                                           | 264.54                             | 661.00                            |
| <b>Total</b>                                                | <b>411.60</b>                      | <b>782.07</b>                     |

**2.7 SHORT-TERM BORROWINGS**

| Particulars                                                                                                                                                                                    | As at 31 <sup>st</sup> March, 2014 |                | As at 31 <sup>st</sup> March 2013 |                 |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------|----------------|-----------------------------------|-----------------|
| (A) <b>LOANS REPAYABLE ON DEMAND</b>                                                                                                                                                           |                                    |                |                                   |                 |
| i) <b>From Banks :</b>                                                                                                                                                                         |                                    |                |                                   |                 |
| <b>Secured :</b>                                                                                                                                                                               |                                    |                |                                   |                 |
| Cash credit from Canara Bank and Bank of Baroda, secured by equitable mortgage of Land & Buildings and hypothecation of Plant & Machinery and Current assets of the company on paripassu basis |                                    | -              |                                   | 6309.39         |
| <b>Unsecured :</b>                                                                                                                                                                             |                                    |                |                                   |                 |
| Short Term Loan from HDFC Bank                                                                                                                                                                 |                                    | 1500.00        |                                   | 5000.00         |
| Short Term Loan from HSBC Bank                                                                                                                                                                 |                                    | 1000.00        |                                   | -               |
| (B) <b>FIXED DEPOSITS (Unsecured)</b>                                                                                                                                                          |                                    |                |                                   |                 |
| (i) from Directors                                                                                                                                                                             | -                                  | -              | -                                 | -               |
| (ii) Others                                                                                                                                                                                    | 37.63                              | 37.63          | 45.15                             | 45.15           |
| <b>Total</b>                                                                                                                                                                                   |                                    | <b>2537.63</b> |                                   | <b>11354.54</b> |

**2.8 TRADE PAYABLES**

| Particulars                                                 | As at 31 <sup>st</sup> March, 2014 | As at 31 <sup>st</sup> March 2013 |
|-------------------------------------------------------------|------------------------------------|-----------------------------------|
| (i) Acceptances                                             | 6000.94                            | 5144.91                           |
| (ii) Sundry Creditors for goods supplied/ services rendered | 6300.07                            | 7188.07                           |
| <b>Total</b>                                                | <b>12301.01</b>                    | <b>12332.98</b>                   |



NOTES ON ACCOUNTS FOR THE YEAR ENDED 31<sup>st</sup> MARCH, 2014

(₹ IN LAKHS)

## 2.9 OTHER CURRENT LIABILITIES

| Particulars                                     | As at<br>31 <sup>st</sup> March 2014 | As at<br>31 <sup>st</sup> March 2013 |
|-------------------------------------------------|--------------------------------------|--------------------------------------|
| <b>Current Maturities of Long- Term Debt</b>    |                                      |                                      |
| - HDFC Bank                                     | -                                    | -                                    |
| - FIXED DEPOSITS (Unsecured)                    |                                      |                                      |
| (i) from Directors                              | 42.00                                | 28.00                                |
| (ii) Others                                     | 67.04                                | 32.02                                |
| Current maturities of finance lease obligations | -                                    | 0.44                                 |
| Interest accrued but not due on borrowings      | 14.50                                | 50.52                                |
| Unpaid dividends / unclaimed dividends          | 68.33                                | 57.61                                |
| <b>Other Payables</b>                           |                                      |                                      |
| Payables for Capital Expenditure                | 185.06                               | 243.84                               |
| <b>Accrued Salaries and Incentives</b>          |                                      |                                      |
| Salaries and Benefits                           | 161.33                               | 150.16                               |
| Bonus and Incentives                            | 1521.64                              | 1846.38                              |
| Taxes Payable                                   | 446.96                               | 443.87                               |
| Trade Deposits and Advances                     | 864.49                               | 732.43                               |
| Provision for Expenses                          | 4300.25                              | 5602.55                              |
| <b>Total</b>                                    | <b>7671.60</b>                       | <b>9187.82</b>                       |

## 2.10 SHORT-TERM PROVISIONS

| Particulars                      | As at<br>31 <sup>st</sup> March 2014 | As at<br>31 <sup>st</sup> March 2013 |
|----------------------------------|--------------------------------------|--------------------------------------|
| Provision for Employee Benefits  | 86.69                                | 81.19                                |
| Provision for Wealth Tax         | 2.95                                 | 2.94                                 |
| Provision for Fringe Benefit Tax | 186.70                               | 186.70                               |
| Proposed Dividends               | 2328.24                              | 1984.71                              |
| Provision for Dividend Tax       | 395.68                               | 337.30                               |
| Provision for Income Tax (Net)   | 130.20                               | 1667.72                              |
| <b>Total</b>                     | <b>3130.46</b>                       | <b>4260.56</b>                       |

**NOTES ON ACCOUNTS FOR THE YEAR ENDED 31<sup>st</sup> MARCH, 2014**

| 2.11 FIXED ASSETS-TANGIBLE                                                                                                                                                                                                              |                                         |                                        |                                         |                                        |                                         |                          |                                         |                                         |                                   |                                   | (₹ IN LAKHS) |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------|----------------------------------------|-----------------------------------------|----------------------------------------|-----------------------------------------|--------------------------|-----------------------------------------|-----------------------------------------|-----------------------------------|-----------------------------------|--------------|
| Description                                                                                                                                                                                                                             | GROSS BLOCK-COST/BOOK VALUE             |                                        |                                         |                                        | DEPRECIATION/AMORTISATION               |                          |                                         | NET BLOCK                               |                                   |                                   |              |
|                                                                                                                                                                                                                                         | Total as at 31 <sup>st</sup> March 2013 | Additions/ Adjustments during the year | Deductions/ Adjustments during the year | Impairment/ (Reversal) during the year | Total as at 31 <sup>st</sup> March 2013 | Provided during the year | Deductions/ Adjustments during the year | Total as at 31 <sup>st</sup> March 2014 | As at 31 <sup>st</sup> March 2014 | As at 31 <sup>st</sup> March 2013 |              |
| Land:                                                                                                                                                                                                                                   |                                         |                                        |                                         |                                        |                                         |                          |                                         |                                         |                                   |                                   |              |
| (a) Freehold                                                                                                                                                                                                                            | 3606.10                                 | 5.08                                   | -                                       | -                                      | -                                       | -                        | -                                       | -                                       | 3611.18                           | 3606.10                           |              |
| (b) Leasehold                                                                                                                                                                                                                           | 263.21                                  | -                                      | -                                       | -                                      | 19.74                                   | 2.86                     | -                                       | 22.60                                   | 240.61                            | 243.47                            |              |
| Buildings                                                                                                                                                                                                                               | 7022.12                                 | 7484.02                                | -                                       | -                                      | 1258.63                                 | 367.98                   | -                                       | 1626.61                                 | 12879.53                          | 5763.49                           |              |
| Plant & Machinery                                                                                                                                                                                                                       | 8008.27                                 | 8437.79                                | -                                       | -                                      | 3214.00                                 | 708.93                   | -                                       | 3922.93                                 | 12523.13                          | 4794.27                           |              |
| Electrical Installations                                                                                                                                                                                                                | 782.63                                  | 2021.99                                | -                                       | -                                      | 200.56                                  | 99.14                    | -                                       | 299.70                                  | 2,504.92                          | 582.07                            |              |
| Tools, Moulds & Dies                                                                                                                                                                                                                    | 695.59                                  | 205.03                                 | -                                       | -                                      | 340.30                                  | 65.36                    | -                                       | 405.66                                  | 494.96                            | 355.29                            |              |
| Furniture and Fixtures                                                                                                                                                                                                                  | 879.02                                  | 252.38                                 | -                                       | -                                      | 320.97                                  | 77.89                    | -                                       | 398.86                                  | 732.54                            | 558.05                            |              |
| Office equipment                                                                                                                                                                                                                        | 665.43                                  | 121.21                                 | -                                       | -                                      | 308.05                                  | 17.58                    | -                                       | 325.63                                  | 461.01                            | 357.38                            |              |
| Vehicles                                                                                                                                                                                                                                |                                         |                                        |                                         |                                        |                                         |                          |                                         |                                         |                                   |                                   |              |
| - Owned                                                                                                                                                                                                                                 | 383.21                                  | 45.52                                  | 0.14                                    | -                                      | 59.36                                   | 39.42                    | 0.04                                    | 98.74                                   | 329.85                            | 323.85                            |              |
| - Leased                                                                                                                                                                                                                                | 4.19                                    | -                                      | 4.19                                    | -                                      | 3.94                                    | 0.25                     | 4.19                                    | -                                       | -                                 | 0.25                              |              |
| TOTAL                                                                                                                                                                                                                                   | 22309.77                                | 18573.02                               | 4.33                                    | -                                      | 5725.55                                 | 1379.41                  | 4.23                                    | 7100.73                                 | 33777.73                          | 16584.22                          |              |
| 2.12 FIXED ASSETS-INTANGIBLE                                                                                                                                                                                                            |                                         |                                        |                                         |                                        |                                         |                          |                                         |                                         |                                   |                                   |              |
| Description                                                                                                                                                                                                                             | GROSS BLOCK-COST/BOOK VALUE             |                                        |                                         |                                        | DEPRECIATION/AMORTISATION               |                          |                                         | NET BLOCK                               |                                   |                                   |              |
|                                                                                                                                                                                                                                         | Total as at 31 March 2013               | Additions/ adjustments during the year | Deductions/ adjustments during the year | Impairment/ (reversal) during the year | Total as at 31 March 2013               | Provided during the year | Deductions/ adjustments during the year | Total as at 31 March 2014               | As at 31 March 2014               | As at 31 March 2013               |              |
| ERP - SOFTWARE ETC.                                                                                                                                                                                                                     | 313.47                                  | 56.40                                  | -                                       | -                                      | 88.13                                   | 97.74                    | -                                       | 185.87                                  | 184.00                            | 225.34                            |              |
| 2.13 Capital Work in Progress                                                                                                                                                                                                           |                                         |                                        |                                         |                                        |                                         |                          |                                         |                                         |                                   |                                   |              |
| Description                                                                                                                                                                                                                             | GROSS BLOCK-COST/BOOK VALUE             |                                        |                                         |                                        | DEPRECIATION/AMORTISATION               |                          |                                         | NET BLOCK                               |                                   |                                   |              |
|                                                                                                                                                                                                                                         | Total as at 31 March 2013               | Additions/ adjustments during the year | Deductions/ adjustments during the year | Impairment/ (reversal) during the year | Total as at 31 March 2013               | Provided during the year | Deductions/ adjustments during the year | Total as at 31 March 2014               | As at 31 March 2014               | As at 31 March 2013               |              |
| Capital Work in Progress                                                                                                                                                                                                                | 14007.92                                | 4042.15                                | 15619.50                                | -                                      | 2430.57                                 | -                        | -                                       | 2430.57                                 | 2430.57                           | 14007.92                          |              |
| Note : Capital Work in Progress includes :<br>a) Dooravaninagar Property development amount of ₹ 2375.42 lakhs (Previous year : ₹ 2375.42 lakhs)<br>b) Interest on Loan capitalised ₹ Nil (Previous year : ₹ 81.15 lakhs) as per AS-16. |                                         |                                        |                                         |                                        |                                         |                          |                                         |                                         |                                   |                                   |              |

NOTES ON ACCOUNTS FOR THE YEAR ENDED 31<sup>st</sup> MARCH, 2014

(₹ IN LAKHS)

**2.14 NON-CURRENT INVESTMENTS**

| Particulars                                                                                                                                   | As at<br>31 <sup>st</sup> March 2014 | As at<br>31 <sup>st</sup> March 2013 |
|-----------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------|--------------------------------------|
| <b>NON-TRADE INVESTMENTS</b>                                                                                                                  |                                      |                                      |
| (i) Investment in Equity Instruments<br>TTK Healthcare Limited, (Group Company)<br>1440 shares fully paid up, Face Value of ₹ 10/- per share) | 1.65                                 | 1.65                                 |
| <b>Total</b>                                                                                                                                  | <b>1.65</b>                          | <b>1.65</b>                          |
| <b>Notes:-</b>                                                                                                                                |                                      |                                      |
| 1. All Non Trade investments are valued at cost                                                                                               |                                      |                                      |
| 2. Quoted Investments:                                                                                                                        |                                      |                                      |
| Aggregate Amount                                                                                                                              | 1.65                                 | 1.65                                 |
| Market Value                                                                                                                                  | 7.54                                 | 5.90                                 |

**2.15 LONG-TERM LOANS AND ADVANCES:**

| Particulars                   | As at<br>31 <sup>st</sup> March 2014 | As at<br>31 <sup>st</sup> March 2013 |
|-------------------------------|--------------------------------------|--------------------------------------|
| (A) <b>Capital Advances</b>   |                                      |                                      |
| - Unsecured, Considered good  | 281.57                               | 1284.38                              |
| (B) <b>Security Deposits:</b> |                                      |                                      |
| - Unsecured, Considered good  | 620.48                               | 960.30                               |
| <b>Total</b>                  | <b>902.05</b>                        | <b>2,244.68</b>                      |

**2.16 CURRENT INVESTMENTS:**

| Particulars                                                                      | As at<br>31 <sup>st</sup> March 2014 | As at<br>31 <sup>st</sup> March 2013 |
|----------------------------------------------------------------------------------|--------------------------------------|--------------------------------------|
| Quoted                                                                           |                                      |                                      |
| Investment in Mutual Funds :                                                     |                                      |                                      |
| Baroda Pioneer Liquid Fund- 1001.8617 units                                      | 200.68                               | -                                    |
| Reliance Liquid Fund -13098.698 units                                            | 200.25                               | -                                    |
| Birla Sun Life floating Rate Fund-300541.058 units                               | 301.05                               | -                                    |
| Birla Sun Life cash plus -199872.209 units                                       | 200.53                               | -                                    |
| <b>Total</b>                                                                     | <b>902.51</b>                        | <b>-</b>                             |
| <b>Notes:-</b>                                                                   |                                      |                                      |
| 1. All Current investments are valued at cost or market value, whichever is less |                                      |                                      |
| 2. Quoted Investments:                                                           |                                      |                                      |
| Aggregate Amount                                                                 | 902.51                               | -                                    |
| Market Value                                                                     | 902.51                               | -                                    |

**2.17 INVENTORIES:**

| Particulars           | As at<br>31 <sup>st</sup> March 2014 | As at<br>31 <sup>st</sup> March 2013 |
|-----------------------|--------------------------------------|--------------------------------------|
| (a) Raw-Materials     | 6303.58                              | 5005.26                              |
| (b) Work in Progress  | 1229.46                              | 689.80                               |
| (c) Finished Goods    | 8566.10                              | 8258.24                              |
| (d) Stock in Trade    | 10156.48                             | 9272.39                              |
| (e) Stores and Spares | 425.38                               | 327.02                               |
| <b>Total</b>          | <b>26681.00</b>                      | <b>23552.71</b>                      |

**Mode of Valuation:**

Inventories are valued at lower of cost, computed on a weighted average basis and estimated net realisable value, after providing for cost of obsolescence and other anticipated losses, wherever considered necessary. Finished Goods and Work in progress include cost of conversion and other costs incurred in bringing the inventories to their present location and condition.

# TTK Prestige Limited

## NOTES ON ACCOUNTS FOR THE YEAR ENDED 31<sup>st</sup> MARCH, 2014

(₹ IN LAKHS)

### 2.18 TRADE RECEIVABLES:

| Particulars                                                                                                | As at 31 <sup>st</sup> March 2014 | As at 31 <sup>st</sup> March 2013 |
|------------------------------------------------------------------------------------------------------------|-----------------------------------|-----------------------------------|
| (A) Trade receivables outstanding for a period less than six months from the date they are due for payment |                                   |                                   |
| (i) Secured, considered good                                                                               | -                                 | -                                 |
| (ii) Unsecured, considered good                                                                            | 14474.11                          | 14069.27                          |
| (iii) Doubtful                                                                                             | -                                 | -                                 |
| Less:- Allowance for Bad and Doubtful Debts                                                                | - 14474.11                        | - 14069.27                        |
| (B) Trade receivables outstanding for a period exceeding six months from the date they are due for payment |                                   |                                   |
| (i) Secured, considered good                                                                               | -                                 | -                                 |
| (ii) Unsecured, considered good                                                                            | 436.94                            | 251.43                            |
| (iii) Doubtful                                                                                             | 243.13                            | 162.87                            |
| Less:- Allowance for Bad and Doubtful Debts                                                                | 243.13 436.94                     | 162.87 251.43                     |
| <b>Total</b>                                                                                               | <b>14911.05</b>                   | <b>14320.70</b>                   |

### 2.19 CASH AND CASH EQUIVALENTS

| Particulars                                                              | As at 31 <sup>st</sup> March 2014 | As at 31 <sup>st</sup> March 2013 |
|--------------------------------------------------------------------------|-----------------------------------|-----------------------------------|
| (A) <b>Balances with Banks:</b>                                          |                                   |                                   |
| (I) <b>Earmarked Bank Balances:</b>                                      |                                   |                                   |
| Unpaid dividend bank account                                             | 68.33                             | 56.71                             |
| (II) <b>Bank Balances held as margin money or as security against:</b>   |                                   |                                   |
| (i) Letter of Credit                                                     | 153.99                            | 422.97                            |
| (ii) Other Commitments                                                   | 14.00                             | 23.50                             |
| (III) <b>Other Bank Balances</b> (including balance in current account): | 2719.47                           | 2747.32                           |
| (B) <b>Cash on hand</b>                                                  | 4.36                              | 4.57                              |
| <b>Total</b>                                                             | <b>2960.15</b>                    | <b>3255.07</b>                    |

### 2.20 SHORT-TERM LOANS AND ADVANCES:

| Particulars                                                            | As at 31 <sup>st</sup> March 2014 | As at 31 <sup>st</sup> March 2013 |
|------------------------------------------------------------------------|-----------------------------------|-----------------------------------|
| Secured, considered good-Loan to Contract Manufacturer                 | 1875.00                           | 1875.00                           |
| Unsecured, considered good:                                            |                                   |                                   |
| - MAT Credit Entitlement                                               | 215.88                            | -                                 |
| - Advance Fringe Benefits Tax                                          | 197.37                            | 197.37                            |
| - Balances with Excise and Sales Tax Authorities                       | 358.87                            | 296.22                            |
| - Advances to Employees                                                | 14.43                             | 15.37                             |
| - Others                                                               | 1376.44                           | 2345.52                           |
| (Advance for goods purchased, prepaid expenses & other trade advances) |                                   |                                   |
| <b>Total</b>                                                           | <b>4037.99</b>                    | <b>4729.48</b>                    |

### 2.21 OTHER CURRENT ASSETS

| Particulars                              | As at 31 <sup>st</sup> March 2014 | As at 31 <sup>st</sup> March 2013 |
|------------------------------------------|-----------------------------------|-----------------------------------|
| Interest accrued on investments/Deposits | 391.12                            | 149.98                            |
| <b>Total</b>                             | <b>391.12</b>                     | <b>149.98</b>                     |

NOTES ON ACCOUNTS FOR THE YEAR ENDED 31<sup>st</sup> MARCH, 2014

(₹ IN LAKHS)

| Particulars                                                                                                   | For the year ended<br>31.03.2014 |                 | For the year ended<br>31.03.2013 |                 |
|---------------------------------------------------------------------------------------------------------------|----------------------------------|-----------------|----------------------------------|-----------------|
| <b>2.22 OTHER INCOME</b>                                                                                      |                                  |                 |                                  |                 |
| (a) Interest Income                                                                                           | 399.19                           |                 | 153.69                           |                 |
| (b) Dividend Income                                                                                           | 50.05                            |                 | 32.88                            |                 |
| (c) Commission Receipts                                                                                       | 168.46                           |                 | 135.17                           |                 |
| (d) Bad Debts Recovered                                                                                       | 38.29                            |                 | 27.69                            |                 |
| (e) Profit on Sale of Assets                                                                                  | 2.18                             |                 | 3.53                             |                 |
| (f) Other Non-Operating Income                                                                                | 10.65                            |                 | 12.70                            |                 |
| (g) Net gain/(loss) on Foreign currency transactions and translations (Other than considered in finance cost) | 118.70                           | <b>787.52</b>   | 107.57                           | <b>473.23</b>   |
| <b>2.23 EXPENSES:</b>                                                                                         |                                  |                 |                                  |                 |
| Employee Benefits Expense                                                                                     |                                  |                 |                                  |                 |
| (i) Salaries and Wages                                                                                        | 7935.63                          |                 | 7371.67                          |                 |
| (ii) Contribution to Provident and Other Funds                                                                | 399.33                           |                 | 316.63                           |                 |
| (iii) Staff Welfare Expenses                                                                                  | 765.14                           | <b>9100.10</b>  | 669.74                           | <b>8358.04</b>  |
| <b>2.24 FINANCE COSTS</b>                                                                                     |                                  |                 |                                  |                 |
| (i) Interest expense<br>[includes ₹ 4.20 lakhs paid to Directors (P.Y. ₹ 4.20 Lakhs)]                         | 624.99                           |                 | 1,131.26                         |                 |
| (ii) Other Borrowing costs                                                                                    | 13.19                            |                 | 17.79                            |                 |
| (iii) Net (gain)/loss on Foreign currency transactions and translations                                       | 215.38                           | <b>853.56</b>   | 277.48                           | <b>1426.53</b>  |
| <b>2.25 OTHER EXPENSES</b>                                                                                    |                                  |                 |                                  |                 |
| (a) Consumption of Stores and Spare Parts                                                                     | 467.41                           |                 | 344.14                           |                 |
| (b) Power and Fuel                                                                                            | 1331.17                          |                 | 972.12                           |                 |
| (c) Rent                                                                                                      | 490.98                           |                 | 420.96                           |                 |
| (d) Repairs to Buildings                                                                                      | 184.72                           |                 | 142.60                           |                 |
| (e) Repairs to Machinery                                                                                      | 210.97                           |                 | 142.24                           |                 |
| (f) Donations                                                                                                 | 80.87                            |                 | 110.00                           |                 |
| (g) Insurance                                                                                                 | 106.67                           |                 | 72.58                            |                 |
| (h) Rates and Taxes, excluding, taxes on income                                                               | 77.15                            |                 | 63.36                            |                 |
| (i) Miscellaneous Expense                                                                                     | 1328.24                          |                 | 1261.46                          |                 |
| (j) Sundry Manufacturing Expenses                                                                             | 1691.44                          |                 | 1271.06                          |                 |
| (k) Repairs & Maintenance to other Assets                                                                     | 318.49                           |                 | 255.14                           |                 |
| (l) Travelling & Conveyance                                                                                   | 1096.95                          |                 | 857.84                           |                 |
| (m) Motor Vehicle Expenses                                                                                    | 89.27                            |                 | 82.37                            |                 |
| (n) Bank Charges                                                                                              | 493.44                           |                 | 590.28                           |                 |
| (o) Carriage Outwards                                                                                         | 4933.15                          |                 | 4881.25                          |                 |
| (p) Directors Sitting Fees                                                                                    | 12.80                            |                 | 9.80                             |                 |
| (q) Non Executive Directors' Commission                                                                       | 84.00                            |                 | -                                |                 |
| (r) Legal & Professional Charges                                                                              | 194.80                           |                 | 232.05                           |                 |
| (s) Postage & Communication Expenses                                                                          | 181.48                           |                 | 180.75                           |                 |
| (t) Printing & Stationery                                                                                     | 101.20                           |                 | 100.06                           |                 |
| (u) Advertisement & selling Expenses                                                                          | 8044.37                          |                 | 7940.41                          |                 |
| (v) Distribution Expenses                                                                                     | 2167.47                          |                 | 2304.20                          |                 |
| (w) Discounts and Schemes                                                                                     | 7206.39                          |                 | 7149.62                          |                 |
| (x) Provision for Bad Debts                                                                                   | 98.08                            | <b>30991.51</b> | 46.99                            | <b>29431.28</b> |
| (y) Payments to the auditor as:                                                                               |                                  |                 |                                  |                 |
| (i) Auditor                                                                                                   | 22.47                            |                 | 22.47                            |                 |
| (ii) for Taxation Matters                                                                                     | 4.72                             |                 | 3.32                             |                 |
| (iii) for Other Services                                                                                      | 6.72                             |                 | 3.60                             |                 |
| (iv) for Reimbursement of Expenses                                                                            | 0.25                             | <b>34.16</b>    | 0.25                             | 29.64           |
| <b>Other Expenses Total</b>                                                                                   |                                  | <b>31025.67</b> |                                  | <b>29460.92</b> |

# TTK Prestige Limited

## NOTES ON ACCOUNTS FOR THE YEAR ENDED 31<sup>st</sup> MARCH, 2014

(₹ IN LAKHS)

| Particulars                                                     | For the year ended<br>31.03.2014 |        | For the year ended<br>31.03.2013 |   |
|-----------------------------------------------------------------|----------------------------------|--------|----------------------------------|---|
| <b>2.26 EXCEPTIONAL ITEMS :</b>                                 |                                  |        |                                  |   |
| Land Compensation Received from Government<br>(Net of Expenses) | 312.50                           |        | -                                |   |
| Add : Interest Received on Land Compensation                    | 497.66                           |        | -                                |   |
| Less : Amount Paid under Voluntary Retirement Scheme            | (114.24)                         | 695.92 | -                                | - |
|                                                                 |                                  |        |                                  |   |

**2.27 Previous year figures are given in brackets.**

### 2.28 Break-up of Major Raw Materials Consumed-Manufactured Goods

| Particulars                      | Amount                               |
|----------------------------------|--------------------------------------|
| <b>Raw Materials Consumption</b> |                                      |
| Aluminium                        | 12576.06<br>(12357.79)               |
| Steel                            | 1525.74<br>(1740.05)                 |
| Components, Packing Material etc | 22596.72<br>(22596.82)               |
| <b>Total</b>                     | <b>36698.52</b><br><b>(36694.66)</b> |

### 2.29 Break-up of Purchases of Stock-in-Trade

| Particulars                   | Amount                               |
|-------------------------------|--------------------------------------|
| <b>Goods Purchased</b>        |                                      |
| Non Stick                     | 2967.15<br>(7875.06)                 |
| Gas Stove                     | 10557.46<br>(8344.15)                |
| Kitchen Electrical Appliances | 21453.79<br>(24888.13)               |
| Others                        | 3289.55<br>(4683.44)                 |
| <b>Total</b>                  | <b>38267.95</b><br><b>(45790.78)</b> |

### 2.30 Break-up of Sales, Closing and Opening Value of Inventories

| Particulars                   | Sales Values                         | Closing Inventory                  | Opening Inventory                  |
|-------------------------------|--------------------------------------|------------------------------------|------------------------------------|
| <b>Manufactured Goods</b>     |                                      |                                    |                                    |
| Pressure Cookers              | 49353.82<br>(51065.42)               | 5063.58<br>(4921.15)               | 4921.15<br>(3368.69)               |
| Non Stick Cookware            | 16688.03<br>(8038.62)                | 1836.87<br>(1853.61)               | 1853.61<br>(598.50)                |
| Gas Stove                     | 13.80<br>(260.21)                    | 4.14<br>(10.53)                    | 10.53<br>(5.43)                    |
| Kitchen Electrical Appliances | 9019.22<br>(7250.48)                 | 1661.51<br>(1472.95)               | 1472.95<br>(163.85)                |
| <b>Total</b>                  | <b>75074.87</b><br><b>(66614.73)</b> | <b>8566.10</b><br><b>(8258.24)</b> | <b>8258.24</b><br><b>(4136.47)</b> |



NOTES ON ACCOUNTS FOR THE YEAR ENDED 31<sup>st</sup> MARCH, 2014

(₹ IN LAKHS)

| Particulars                   | Sales Values                           | Closing Inventory                    | Opening Inventory                    |
|-------------------------------|----------------------------------------|--------------------------------------|--------------------------------------|
| <b>Traded Goods</b>           |                                        |                                      |                                      |
| Non Stick Cookware            | 5969.80<br>(16446.47)                  | 959.06<br>(1460.98)                  | 1460.98<br>(1906.63)                 |
| Gas Stove                     | 16675.39<br>(12529.91)                 | 1521.26<br>(1526.70)                 | 1526.70<br>(941.88)                  |
| Kitchen Electrical Appliances | 30049.83<br>(37651.19)                 | 5042.91<br>(3863.01)                 | 3863.01<br>(4685.97)                 |
| Others                        | 3830.03<br>(4524.77)                   | 2633.26<br>(2421.70)                 | 2421.70<br>(1161.23)                 |
| <b>Total</b>                  | <b>56525.05</b><br><b>(71152.34)</b>   | <b>10156.48</b><br><b>(9272.39)</b>  | <b>9272.39</b><br><b>(8695.71)</b>   |
| <b>Grand Total</b>            | <b>131599.92</b><br><b>(137767.07)</b> | <b>18722.58</b><br><b>(17530.63)</b> | <b>17530.63</b><br><b>(12832.18)</b> |

**2.31 Imported & Indigenous Raw Materials, Components & Spares Consumed:**

| Particulars                                                       | 2013-14         |               | 2012-13         |               |
|-------------------------------------------------------------------|-----------------|---------------|-----------------|---------------|
| Imported & Indigenous Raw Materials, Components & Spares Consumed | Value           | %             | Value           | %             |
| Imported                                                          | 4913.55         | 13.39         | 5470.57         | 14.91         |
| Indigenous                                                        | 31784.97        | 86.61         | 31224.09        | 85.09         |
| <b>Total</b>                                                      | <b>36698.52</b> | <b>100.00</b> | <b>36694.66</b> | <b>100.00</b> |

**2.32** The previous year's figures have been regrouped and reclassified wherever necessary to make them comparable with the figures of the current year.

- 2.33** (a) The company has created a Trust which has taken a Group Gratuity Policy with the Life Insurance Corporation of India for future payment of gratuity to retired / resigned employees. Based on the actuarial valuation, provision has been made for the full value of the gratuity benefits as per the requirements of Accounting Standard (AS-15) (Revised) issued by The Institute of Chartered Accountants of India.
- (b) The Company contributes to a Superannuation Fund covering specified employees. The Contributions are by way of annual premia payable in respect of a superannuation policy issued by the Life Insurance Corporation of India, which confers benefits to retired / resigned employees based on policy norms. No other liabilities are incurred by the Company in this regard.
- (c) Leave encashment benefit has been charged to Profit & Loss account on the basis of actuarial valuation as at the year end in line with the Accounting Standard (AS -15) (Revised) issued by the Institute of Chartered Accountants of India
- (d) **As per Accounting Standard AS -15 (Revised) Employee Benefits, the disclosures as defined in the Accounting Standard are given below:**

**DEFINED CONTRIBUTION PLAN:**

| Particulars                                   | 2013-14 | 2012-13 |
|-----------------------------------------------|---------|---------|
| Employers contribution to Provident Fund      | 248.75  | 220.50  |
| Employers Contribution to Superannuation Fund | 22.39   | 21.42   |

**DEFINED BENEFIT PLAN:**

The Employees' Gratuity Fund Scheme managed by a Trust is defined benefit plan.

The present value of obligation is determined based on actuarial valuation using Projected Unit Credit method which recognizes each period of service as giving rise to additional unit of employee benefit entitlement and measures each unit separately to build up the final obligation as per Para 65 of the Accounting Standard AS - 15 (Revised), issued by the Institute of Chartered Accountants of India.

The obligation for Leave Encashment is recognized in the same manner as gratuity.

**Reconciliation of the Opening and Closing Balances Defined Benefit Obligation**

| Particulars                                             | Gratuity (Funded) |         | Leave Encashment (Funded) |         |
|---------------------------------------------------------|-------------------|---------|---------------------------|---------|
|                                                         | 2013-14           | 2012-13 | 2013-14                   | 2012-13 |
| Defined Benefit Obligation at the beginning of the year | 1090.07           | 986.14  | 220.44                    | 205.25  |
| Current Service Cost                                    | 66.39             | 63.21   | 14.81                     | 14.59   |
| Interest Cost                                           | 87.21             | 78.88   | 17.64                     | 16.42   |
| Actuarial (gains) and losses on Obligation              | 17.66             | (15.36) | 10.52                     | (15.82) |
| Benefits Paid                                           | (80.63)           | (22.80) | NIL                       | NIL     |
| Defined Benefit Obligation at the end of the year       | 1180.70           | 1090.07 | 263.41                    | 220.44  |

**Reconciliation of the Opening and Closing Balances of Fair Value of Plan Assets:**

| Particulars                                            | Gratuity (Funded) |         | Leave Encashment (Funded) |         |
|--------------------------------------------------------|-------------------|---------|---------------------------|---------|
|                                                        | 2013-14           | 2012-13 | 2013-14                   | 2012-13 |
| Fair value of plan assets at the beginning of the year | 934.21            | 797.50  | 174.04                    | 138.50  |
| Expected return on plan assets                         | 84.93             | 79.73   | 16.61                     | 14.30   |
| Actuarial loss on plan assets                          | NIL               | NIL     | NIL                       | NIL     |
| Contribution by the employer                           | 66.39             | 79.78   | 14.81                     | 21.24   |
| Benefits paid                                          | (80.63)           | (22.80) | NIL                       | NIL     |
| Fair value of plan assets at the end of the year       | 1004.90           | 934.21  | 205.46                    | 174.04  |

**Reconciliation of the Fair Value of Assets and Obligations**

| Particulars                        | Gratuity (Funded) |         | Leave Encashment (Funded) |         |
|------------------------------------|-------------------|---------|---------------------------|---------|
|                                    | 2013-14           | 2012-13 | 2013-14                   | 2012-13 |
| Fair Value of Plan Assets          | 1004.90           | 934.21  | 205.46                    | 174.04  |
| Present Value of Obligation        | 1180.70           | 1090.07 | 263.41                    | 220.44  |
| Amount recognized in Balance Sheet | 175.80            | 155.86  | 57.95                     | 46.40   |

**Expenses recognized during the year:**

| Particulars                    | Gratuity (Funded) |         | Leave Encashment (Funded) |         |
|--------------------------------|-------------------|---------|---------------------------|---------|
|                                | 2013-14           | 2012-13 | 2013-14                   | 2012-13 |
| Current Service Cost           | 66.39             | 63.21   | 14.81                     | 14.59   |
| Interest Cost                  | 87.21             | 78.88   | 17.64                     | 16.42   |
| Expected Return on Plan Assets | 84.93             | 79.73   | 16.61                     | 14.30   |
| Actuarial loss (gain)          | 17.66             | (15.36) | 10.52                     | (15.82) |
| Net Cost                       | 86.33             | 47.00   | 26.36                     | 0.89    |

**Actuarial Assumptions:**

| Particulars                           | Gratuity (Funded) |          | Leave Encashment (Funded) |          |
|---------------------------------------|-------------------|----------|---------------------------|----------|
|                                       | 2013-14           | 2012-13  | 2013-14                   | 2012-13  |
|                                       | 1994-96           | 1994-96  | 1994-96                   | 1994-96  |
| Mortality Table (LIC)                 | Ultimate          | Ultimate | Ultimate                  | Ultimate |
| Discount Rate (p.a.)                  | 8.00%             | 8.00%    | 8.00%                     | 8.00%    |
| Expected Return on Plan Assets (p.a.) | 10.00%            | 10.00%   | 10.00%                    | 10.00%   |
| Rate of Escalation in Salary ( p.a.)  | 6.00%             | 7.00%    | 6.50%                     | 7.00%    |

The estimate of rate of escalation in salary considered in actuarial valuation, take in to account inflation, Seniority, promotion and other relevant factors including supply and demand in the employment market.

NOTES ON ACCOUNTS FOR THE YEAR ENDED 31<sup>st</sup> MARCH, 2014

(₹ IN LAKHS)

e) Amounts for the Current and previous periods are as follows :-

## (A) Gratuity

| PARTICULARS                                              | 2013-14  | 2012-13  | 2011-12  | 2010-11  | 2009-10  |
|----------------------------------------------------------|----------|----------|----------|----------|----------|
| Defined Benefit Obligations                              | 1180.70  | 1090.07  | 986.14   | 864.04   | 751.34   |
| Plan Assets                                              | 1004.90  | 934.21   | 797.50   | 691.97   | 587.31   |
| Surplus /(Deficit)                                       | (175.80) | (155.86) | (188.64) | (172.07) | (164.03) |
| Experience adjustments on Plan Liabilities(Gains)/Losses | -        | -        | -        | -        | -        |
| Experience adjustments on Plan Assets                    | -        | -        | -        | -        | -        |

## (B) Leave Encashment

| PARTICULARS                                              | 2013-14 | 2012-13 | 2011-12 | 2010-11 | 2009-10 |
|----------------------------------------------------------|---------|---------|---------|---------|---------|
| Defined Benefit Obligations                              | 263.41  | 220.44  | 205.25  | 175.46  | 159.09  |
| Plan Assets                                              | 205.46  | 174.04  | 138.50  | 115.36  | 79.88   |
| Surplus /(Deficit)                                       | (57.95) | (46.40) | (66.75) | (60.10) | (79.21) |
| Experience adjustments on Plan Liabilities(Gains)/Losses | -       | -       | -       | -       | -       |
| Experience adjustments on Plan Assets                    | -       | -       | -       | -       | -       |

**2.34** Fringe Benefit Tax (till the time of abolition) was paid under protest, since the matter is pending before The Hon'ble Supreme Court of India. In case of a favourable decision, the company would be entitled to seek refund of the same. Amount: ₹ 197.37 Lakhs (P/Y : ₹ 197.37 Lakhs).

**2.35 Earnings in Foreign Exchange:**

| Particulars                                        | 2013-14 | 2012-13 |
|----------------------------------------------------|---------|---------|
| On account of Export Sale less Returns calculated: |         |         |
| a) at FOB Basis                                    | 5483.05 | 6520.55 |
| b) at CIF Basis                                    | 5483.54 | 6522.72 |

**2.36 Expenditure in Foreign Currency:**

| Particulars                                | 2013-14  | 2012-13  |
|--------------------------------------------|----------|----------|
| 1. Travelling Expenses                     | 4.09     | 4.33     |
| 2. Other Expenses                          | 134.65   | 545.41   |
| 3. CIF Value of Imports (on Payment Basis) | 19751.66 | 24777.65 |
| 4. Import of Capital Goods                 | 173.28   | 628.17   |

**2.37** Based on data received from Vendors, the amount due to MSMED is ascertained as ₹ 1518.59 Lakhs. There are no over dues.

**2.38** The company has two segments namely Kitchen Appliances and Property & Investment for reporting purposes.

**2.39 Disclosure as per Accounting Standard - 19**

The company has not acquired any item of Vehicles on Financial Lease during the year. The details in respect of vehicles purchased in earlier years are as follows :-

The Minimum lease rental outstanding as of 31<sup>st</sup> March 2014 in respect of these assets is as follows:

| Particulars                                    | Total Minimum Lease Payment Outstanding as on |            | Future interest on outstanding lease payments as on |            | Present value of Minimum lease payments as on |            |
|------------------------------------------------|-----------------------------------------------|------------|-----------------------------------------------------|------------|-----------------------------------------------|------------|
|                                                | 31.03.2014                                    | 31.03.2013 | 31.03.2014                                          | 31.03.2013 | 31.03.2014                                    | 31.03.2013 |
| Within One Year                                | -                                             | 0.44       | -                                                   | 0.01       | -                                             | 0.43       |
| Later than one Year and not Later than 5 Years | -                                             | -          | -                                                   | -          | -                                             | -          |
| Later than 5 Years                             | -                                             | -          | -                                                   | -          | -                                             | -          |

**2.40 Related Party transactions as per Accounting Standard - 18:**
**(a) The Company has transactions with the following entities**

Related Party, Enterprises over which Key Management personnel have significant control.

TTK Health Care Limited, Peenya Packaging Products, TTK Protective Devices Limited, T.T. Krishnamachari & Co., TTK Services (P) Limited.

**Key Management Personnel and their Relatives:**

Mr. T.T. Jagannathan, Mr. T.T. Raghunathan, Mr. S. Ravichandran, Mr. K. Shankaran, Dr. (Mrs.) Latha Jagannathan, Dr. T.T. Mukund, Mrs. Bhanu Raghunathan, Mrs. Shanthi Ranganathan.

**(b) Summary of the transactions with the above Related Parties is as follows:**

| Particulars                                            | Enterprises with which the Key Management Personnel have significant control | Key Management Personnel & Relatives | Total   |
|--------------------------------------------------------|------------------------------------------------------------------------------|--------------------------------------|---------|
| Sales                                                  | 63.56                                                                        | -                                    | 63.56   |
| Purchases                                              | 256.17                                                                       | -                                    | 256.17  |
| Commission and Sitting fees to Non-Executive Directors | -                                                                            | 25.80                                | 25.80   |
| Remuneration                                           | -                                                                            | 1114.48                              | 1114.48 |
| Interest Payments                                      | -                                                                            | 5.00                                 | 5.00    |
| Others                                                 | 1789.38                                                                      | 7.31                                 | 1796.69 |

**(c) Balances outstanding as on 31.3.2014**

| Particulars                                | Associates/Others | Key Management Personnel & Relatives |
|--------------------------------------------|-------------------|--------------------------------------|
| Fixed Deposits (due by the Company)        | -<br>(-)          | 50.00<br>(50.00)                     |
| Amount due to the Company against supplies | 13.81<br>(1.47)   | -<br>(-)                             |
| Amount Owed by Company against purchases   | 0.20<br>(76.71)   | -<br>(-)                             |
| Other Current Liabilities                  | 77.55<br>(33.17)  | 945.38<br>(1282.78)                  |

NOTES ON ACCOUNTS FOR THE YEAR ENDED 31<sup>st</sup> MARCH, 2014

(₹ IN LAKHS)

**2.41 Earnings per share as per Accounting Standard (AS-20)**

| Particulars                                                                                        | 31.03.2014 | 31.03.2013 |
|----------------------------------------------------------------------------------------------------|------------|------------|
| Profit after tax as per Profit & Loss a/c before extra-ordinary items (net of tax)                 | 11179.22   | 13308.97   |
| Weighted Average number of Equity Shares used as Denominator for calculating EPS (in lakhs shares) | 115.52     | 113.41     |
| Earnings Per Share of ₹ 10/- each :                                                                |            |            |
| Before Extra –Ordinary items (₹)                                                                   | 96.78      | 117.35     |
| After Extra – Ordinary items (₹)                                                                   | 96.78      | 117.35     |

**2.42** The company is liable to pay Minimum Alternate Tax (MAT) U/s 115 JB of the Income Tax Act 1961. The difference between tax calculated under normal provision of Income Tax Act 1961 and MAT is shown as MAT Entitlement Credit in accordance with Guidance Note issued by ICAI in this respect.

**2.43 Disclosure required by AS 29 'Provisions, Contingent Liabilities and Contingent Assets.**

a) Movement in Provisions (figures in brackets are in respect of the previous year)

| Particulars               | As at<br>01.04.2013 | Additions          | Amount Used        | As at<br>31.03.2014 |
|---------------------------|---------------------|--------------------|--------------------|---------------------|
| Income Tax                | 1667.72<br>(28.90)  | Nil<br>(1638.82)   | 1537.52<br>(Nil)   | 130.20<br>(1667.72) |
| Fringe Benefit Tax        | 186.70<br>(186.70)  | Nil<br>(Nil)       | Nil<br>(Nil)       | 186.70<br>(186.70)  |
| Gratuity/Leave Encashment | 202.26<br>(255.39)  | 31.49<br>(Nil)     | Nil<br>(53.13)     | 233.75<br>(202.26)  |
| Warranties                | 661.00<br>(775.31)  | 393.39<br>(441.31) | 789.85<br>(555.62) | 264.54<br>(661.00)  |

**2.44 CONTINGENT LIABILITIES AND COMMITMENTS:**

| Particulars                                                                                    | As at<br>31 <sup>st</sup> March 2014 | As at<br>31 <sup>st</sup> March 2013 |
|------------------------------------------------------------------------------------------------|--------------------------------------|--------------------------------------|
| A) Contingent Liabilities                                                                      |                                      |                                      |
| (a) Guarantees/LC                                                                              | 1104.31                              | 7424.18                              |
| (b) Tax matters under appeal (IT/ST/ED etc)                                                    | 432.74                               | 686.62                               |
| (B) Commitments                                                                                |                                      |                                      |
| Estimated amount of contracts remaining to be executed on capital account and not provided for | 2561.58                              | 5212.27                              |

**2.45** Pursuant to the Approval of shareholders to the proposed scheme of Demerger between TTK Prestige Limited (TTKPL) and Triveni Bialeli Industries Private Limited (TBI) for the purpose of transferring the Kitchen Appliances Division of TBI to TTKPL, the Honourable High Court of Madras has approved the scheme. However, the approval of The Honourable High Court of Bombay is awaited.

The Appointed Date being 01.04.2012, appropriate effect will be given in the Books of Accounts for the Assets /Liabilities including adjustments for taxes paid in accordance with the sanction of the Courts.

**2.46** The Exceptional Income shown under Note No. 2.26 relates to the Enhanced Compensation for Land at Bangalore, acquired by the Government of Karnataka for Road widening purpose. The compensation was settled in accordance with the Order of the Honourable High Court of Karnataka. The compensation amount (net of related expenses) is ₹ 312.50 lacs. The interest on account of delay in settlement of compensation is ₹ 497.66 lacs.

**2.47** The R & D facility of the Company has been recognized by the Ministry of Science & Technology, Government of India, U/s 35(2) AB of the Income Tax Act. As required under this approval, expenditure in connection with R & D centre is disclosed as follows :

|                         | ₹ in Lacs |
|-------------------------|-----------|
| (1) Capital Expenditure | 44.26     |
| (2) Revenue Expenditure | 178.38    |

As per our report attached  
For **Messrs. S. VISWANATHAN**  
Chartered Accountants  
Firm's Registration Number : 004770S

**C.N. SRINIVASAN**  
Partner  
Membership No. 18205

Bengaluru  
15<sup>th</sup> May, 2014

**For and on behalf of the Board**

**T.T. Jagannathan**  
Executive Chairman

**S. Ravichandran**  
Managing Director

**Dileep K. Krishnaswamy**  
Director

**K. Shankaran**  
Director & Secretary

**V. Sundaresan**  
Chief Financial Officer



## BALANCE SHEET ABSTRACT AND COMPANY'S GENERAL BUSINESS PROFILE

|                                      |                                                                                             |                                       |                        |
|--------------------------------------|---------------------------------------------------------------------------------------------|---------------------------------------|------------------------|
| <b>I</b>                             | <b>REGISTRATION DETAILS</b>                                                                 |                                       |                        |
|                                      | Registration Number (CIN)                                                                   |                                       | L85110TZ1955PLC0 15049 |
|                                      | State Code                                                                                  |                                       | 08                     |
|                                      | Balance Sheet Date                                                                          |                                       | 31.03.2014             |
| <b>II</b>                            | <b>CAPITAL RAISED DURING THE YEAR</b>                                                       |                                       | (Amount in Lakhs)      |
|                                      | Public Issue                                                                                |                                       | Nil                    |
|                                      | Rights Issue                                                                                |                                       | Nil                    |
|                                      | Bonus Issue                                                                                 |                                       | Nil                    |
|                                      | Private Placement                                                                           |                                       | 30.00                  |
| <b>III</b>                           | <b>POSITION OF MOBILISATION AND DEPLOYMENT OF FUNDS</b>                                     |                                       | (Amount in Lakhs)      |
|                                      | Total Liabilities                                                                           |                                       | 87179.82               |
|                                      | Total Assets                                                                                |                                       | 87179.82               |
|                                      | <b>Sources of Funds</b>                                                                     |                                       |                        |
|                                      | Paid up capital                                                                             |                                       | 1165.48                |
|                                      | Reserves & Surplus                                                                          |                                       | 57365.89               |
|                                      | Secured Loans                                                                               |                                       | 0.00                   |
|                                      | Unsecured loans                                                                             |                                       | 2689.89                |
|                                      | <b>Application of Funds</b>                                                                 |                                       |                        |
|                                      | Net Fixed assets                                                                            |                                       | 36392.30               |
|                                      | Investments                                                                                 |                                       | 1.65                   |
|                                      | <b>Net Current and Non Current Assets</b>                                                   |                                       |                        |
|                                      | Current and Non Current Assets                                                              | 50785.87                              |                        |
|                                      | Less :Current and Non Current Liabilities                                                   | 25958.56                              | 24827.31               |
| <b>IV</b>                            | <b>PERFORMANCE OF THE COMPANY</b>                                                           |                                       |                        |
|                                      | Turnover                                                                                    |                                       | 131599.92              |
|                                      | Total Expenditure                                                                           |                                       | 115691.36              |
|                                      | Profit/(loss) before Tax                                                                    |                                       | 15175.04               |
|                                      | Profit/(loss) after Tax                                                                     |                                       | 11179.22               |
|                                      | Earnings Per Share (in ₹ )                                                                  |                                       | 96.78                  |
|                                      | Dividend Rate %                                                                             |                                       | 200%                   |
| <b>V</b>                             | <b>GENERIC NAMES OF THREE PRINCIPAL PRODUCTS OF THE COMPANY<br/>(AS PER MONETARY TERMS)</b> |                                       |                        |
|                                      | <u>Item Code No. (ITC Code)</u>                                                             | <u>Product Description</u>            |                        |
|                                      | 76151011                                                                                    | Aluminium Pressure Cookers            |                        |
|                                      | 76151021                                                                                    | Non-Stick Cookware (Aluminium)        |                        |
|                                      | 85167990                                                                                    | Induction Cooktop                     |                        |
|                                      | 39241090                                                                                    | Microwave Cookers                     |                        |
|                                      | 73211110                                                                                    | Gas Stoves                            |                        |
| As per our report attached           |                                                                                             | <b>For and on behalf of the Board</b> |                        |
| For <b>Messrs. S. VISWANATHAN</b>    |                                                                                             |                                       |                        |
| Chartered Accountants                |                                                                                             |                                       |                        |
| Firm's Registration Number : 004770S |                                                                                             |                                       |                        |
| <b>C.N. SRINIVASAN</b>               |                                                                                             | <b>T.T. Jagannathan</b>               |                        |
| Partner                              |                                                                                             | Executive Chairman                    |                        |
| Membership No. 18205                 |                                                                                             | <b>S. Ravichandran</b>                |                        |
|                                      |                                                                                             | Managing Director                     |                        |
| <b>V. Sundaresan</b>                 |                                                                                             | <b>Dileep K. Krishnaswamy</b>         |                        |
| Chief Financial Officer              |                                                                                             | Director                              |                        |
|                                      |                                                                                             | <b>K. Shankaran</b>                   |                        |
|                                      |                                                                                             | Director & Secretary                  |                        |
| Bengaluru                            |                                                                                             |                                       |                        |
| 15 <sup>th</sup> May, 2014           |                                                                                             |                                       |                        |

**SEGMENT WISE REVENUE RESULTS & CAPITAL EMPLOYED**

(₹ IN LAKHS)

| Particulars                                                                                                                                                             | 2013-14         | 2012-13         |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|-----------------|
| <b>SEGMENT REVENUE</b>                                                                                                                                                  |                 |                 |
| Kitchen Appliances                                                                                                                                                      |                 |                 |
| Gross sales                                                                                                                                                             | 132337.76       | 138589.00       |
| Less: Excise Duty                                                                                                                                                       | 2954.80         | 2740.61         |
| Net Sales / Income from Operations                                                                                                                                      | 129382.96       | 135848.39       |
| Property&Investment                                                                                                                                                     | 115.00          | 106.84          |
| Total Segmental Revenue                                                                                                                                                 | 129497.96       | 135955.23       |
| Less; Inter-Segment Revenue                                                                                                                                             | (115.00)        | (106.84)        |
| Net Sales / Income from Operations                                                                                                                                      | 129382.96       | 135848.39       |
| <b>SEGMENT RESULTS</b>                                                                                                                                                  |                 |                 |
| {Profit(loss) before Interest & Tax}                                                                                                                                    |                 |                 |
| Kitchen Appliances                                                                                                                                                      | 15233.53        | 19857.79        |
| Property&Investment                                                                                                                                                     | 99.15           | 89.21           |
| Total Segment Results                                                                                                                                                   | 15332.68        | 19947.00        |
| Less; Interest Expenses                                                                                                                                                 | 853.56          | 1426.53         |
| Less;Unallocable Expenses ( Net of unallocable income)                                                                                                                  | -               | -               |
| Total Profit (+) / Loss(-) from ordinary activities before tax and Exceptional items                                                                                    | 14479.12        | 18520.47        |
| Add : Exceptional Items (Net of Expenses)                                                                                                                               | 695.92          | 0.00            |
| Total Profit (+) / Loss(-) from ordinary activities before tax and after exceptional items                                                                              | 15175.04        | 18520.47        |
| Extra-ordinary income(net of tax expense)                                                                                                                               | -               | -               |
| Total Profit (+) / Loss(-) from ordinary activities before tax and after extraordinary items                                                                            | 15175.04        | 18520.47        |
| <b>RECONCILIATION OF TOTAL CAPITAL EMPLOYED VS. CAPITAL EMPLOYED IN SEGMENTS</b>                                                                                        |                 |                 |
|                                                                                                                                                                         | <b>2013-14</b>  | <b>2012-13</b>  |
| Total Non Current Assets                                                                                                                                                | 34918.93        | 30686.73        |
| Total current Assets                                                                                                                                                    | 49883.82        | 46007.94        |
| Investments                                                                                                                                                             | -               | -               |
| Capital Work in Progress (Dooravani Nagar)                                                                                                                              | 2375.42         | 2375.42         |
| Sub-Total                                                                                                                                                               | 87178.17        | 79070.09        |
| Less :Total Current Liabilities(excluding Provision for Dividend)                                                                                                       | 20270.11        | 23399.33        |
| Sub-Total                                                                                                                                                               | 66908.06        | 55670.76        |
| Less :Total Non Current Liabilities                                                                                                                                     | 2964.53         | 2293.57         |
| <b>Total Capital Employed in the Company</b>                                                                                                                            | <b>63943.53</b> | <b>53377.19</b> |
| <b>SEGMENTWISE CAPITAL EMPLOYED</b>                                                                                                                                     |                 |                 |
| Kitchen Appliances                                                                                                                                                      | 60863.14        | 50676.22        |
| Property & Investment                                                                                                                                                   | 3080.39         | 2700.97         |
| Unallocated                                                                                                                                                             | -               | -               |
|                                                                                                                                                                         | <b>63943.53</b> | <b>53377.19</b> |
| <b>Notes :</b>                                                                                                                                                          |                 |                 |
| Segments have been identified in line with Accounting standard on Segment Reporting (AS-17), considering the organisation structure and differential risks and returns. |                 |                 |
| The different Business segments identified are : (a) Kitchen Appliances (b) Property & Investment.                                                                      |                 |                 |
| The Segment wise Revenue,Results and capital employed figures relate to respective amounts directly identifiable to each of the segments.                               |                 |                 |

**HISTORICAL FINANCIAL HIGHLIGHTS**

Prepared as per conventional method to facilitate comparison

(₹ IN LAKHS)

| HISTORICAL DATA                           |                                                                  | 2013-2014 | 2012-2013 | 2011-2012 | 2010-2011 | 2009-2010 | 2008-2009 | 2007-2008 | 2006-2007 | 2005-2006 | 2004-2005 |
|-------------------------------------------|------------------------------------------------------------------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|
| <b>PERFORMANCE</b>                        |                                                                  |           |           |           |           |           |           |           |           |           |           |
| 1                                         | Total Income                                                     | 133125.28 | 139062.23 | 112719.31 | 77987.90  | 51794.37  | 41670.58  | 34134.83  | 29391.17  | 23185.24  | 19182.58  |
| 2                                         | Profit before Interest, Depreciation, Extra ordinary items & tax | 16809.83  | 20846.02  | 17592.05  | 12595.49  | 7616.25   | 3813.01   | 3278.60   | 2578.63   | 1950.47   | 1219.69   |
| 3                                         | Interest                                                         | 853.56    | 1426.53   | 641.15    | 75.53     | 114.14    | 565.07    | 767.48    | 687.92    | 550.49    | 636.32    |
| 4                                         | Depreciation                                                     | 1477.15   | 899.02    | 624.98    | 426.08    | 358.94    | 347.58    | 384.48    | 220.08    | 188.59    | 186.98    |
| 5                                         | Profit / (Loss) before extra ordinary items                      | 14479.12  | 18520.47  | 16325.92  | 12093.88  | 7143.17   | 2900.36   | 2126.64   | 1670.63   | 1211.39   | 396.39    |
| 6                                         | Extra - ordinary \ Exceptional Items                             | 695.92    | 0.00      | 0.00      | -58.50    | 397.23    | 0.00      | 319.83    | -11.29    | -11.29    | -11.29    |
| 7                                         | Profit before tax                                                | 15175.04  | 18520.47  | 16325.92  | 12035.38  | 7540.40   | 2900.36   | 2446.47   | 1659.34   | 1200.10   | 385.10    |
| 8                                         | Taxation Provision                                               | 3995.82   | 5211.50   | 4988.15   | 3660.22   | 2296.60   | 662.25    | 379.95    | 482.67    | 488.63    | 3.76      |
| 9                                         | Profit After tax                                                 | 11179.22  | 13308.97  | 11337.77  | 8375.16   | 5243.80   | 2238.11   | 2066.52   | 1176.67   | 711.47    | 381.34    |
| 10                                        | Dividend provision                                               | 2328.24   | 1984.71   | 1698.16   | 1415.14   | 1131.99   | 565.99    | 397.19    | 340.45    | 283.34    | 226.64    |
| 11                                        | Dividend Tax                                                     | 395.68    | 337.30    | 275.48    | 229.57    | 188.01    | 96.19     | 67.50     | 57.86     | 39.74     | 29.62     |
| 12                                        | Dividend Declared %                                              | 200.00    | 175.00    | 150.00    | 125.00    | 100.00    | 50.00     | 35.00     | 30.00     | 25.00     | 20.00     |
| <b>Sources &amp; Application of Funds</b> |                                                                  |           |           |           |           |           |           |           |           |           |           |
| <b>Sources</b>                            |                                                                  |           |           |           |           |           |           |           |           |           |           |
| 1                                         | Share Capital                                                    | 1165.48   | 1135.48   | 1133.47   | 1133.47   | 1133.41   | 1133.41   | 1133.40   | 1133.39   | 1133.37   | 1133.18   |
| 2                                         | Reserves & surplus                                               | 57365.89  | 38410.82  | 27393.86  | 18014.85  | 11283.92  | 7331.26   | 5755.29   | 4377.06   | 3598.54   | 3228.75   |
| 3                                         | Loan Funds                                                       | 2689.89   | 11510.53  | 7940.87   | 224.56    | 279.92    | 2069.39   | 4687.33   | 7352.87   | 5724.83   | 6494.66   |
| <b>Total</b>                              |                                                                  | 61221.26  | 51056.83  | 36468.20  | 19372.88  | 12697.25  | 10534.06  | 11576.02  | 12863.32  | 10456.74  | 10856.59  |
| <b>Application</b>                        |                                                                  |           |           |           |           |           |           |           |           |           |           |
| 4                                         | Fixed Assets WDV incl assets kept for disposal                   | 36392.30  | 32101.85  | 23761.59  | 9142.87   | 6400.35   | 5957.60   | 5661.15   | 3582.74   | 2525.39   | 2506.48   |
| 5                                         | Investments                                                      | 1.65      | 1.65      | 1.65      | 2258.00   | 39.03     | 39.03     | 39.03     | 1812.24   | 1812.24   | 1512.79   |
| 6                                         | Net Current Assets                                               | 26880.24  | 19964.83  | 13385.80  | 8297.82   | 6569.22   | 4851.55   | 6183.39   | 7762.81   | 6149.86   | 6502.10   |
| 7                                         | Miscellaneous Expenses                                           | 0.00      | 0.00      | 0.00      | 0.00      | 0.00      | 0.00      | 0.00      | 11.29     | 22.57     | 33.86     |
| 8                                         | Deferred Tax Asset (Liability)                                   | -2052.93  | -1011.50  | -680.84   | -325.81   | -311.35   | -314.12   | -307.55   | -305.76   | -53.32    | 301.36    |
| <b>Total</b>                              |                                                                  | 61221.26  | 51056.83  | 36468.20  | 19372.88  | 12697.25  | 10534.06  | 11576.02  | 12863.32  | 10456.74  | 10856.59  |



Date :  
Mail this form to  
**Karvy Computershare (P) Limited**  
(Unit : TTK Prestige Limited)  
Plot No. 17 to 24, Vittal Rao Nagar,  
Madhapur, Hyderabad - 500 081.

Dear Sirs,

### MANDATE FORM - ELECTRONIC CLEARING SERVICE (ECS)

I hereby consent to have the amount of dividend on my equity shares credited through the Electronic Clearing Service (Credit Clearing) - (ECS). The particulars are :

1. Shareholder's Name
2. Client ID / Folio No.
3. D.P. ID
4. Address
5. Particulars of Bank Account
  - a) Bank Name
  - b) Branch Name & Address
  - c) 9-Digit Code Number of the Bank appearing on the MICR Cheque issued by the Bank
  - d) Account No.  
(as appearing in the Cheque Book)
  - e) Account Type (SB / CA / CC)
6. Date from which the mandate should be effective

I/We hereby declare that the particulars given above are correct and complete. If the transaction is delayed or not effected at all for reasons of incomplete or incorrect information, I/We shall not hold the Company responsible. I also undertake to advise changes, if any in the particular of my account to facilitate updation of records for purposes of credit of dividend amount through ECS.

Signature of the shareholder(s)

- Note :
1. Please complete this form and send it to Karvy Computershare (P) Limited
  2. In case of more than one client Id / Folio please complete the details on separate sheets.
  3. ECS facility, at present may be availed by Members for a dividend amount upto ₹ 5,00,000, subject to the rules and regulations of the Scheme of ECS of the Reserve Bank of India from time to time.
  4. Please inform your Depository Participant (DP) of any changes in Bank Account details.



Bank's Stamp  
Date :

Signature of the Authorised Official of the Bank



*India's largest and most innovative range of kitchen appliances.*



*Apple Duo*



*Rice Cookers*



*Hard Anodised Plus  
Cookware*



*Veggie Cutter*



*Hand Blenders*



*Mixer Grinders*



*Deluxe Plus  
Pressure Cookers*



*Chimneys*



*Kettles*



*Induction Cook-tops*



*Dura Plus Cookware*



*Water Purifier*



*Barbeques*



*Gas Stoves*



The background of the entire page is a repeating pattern of light green silhouettes of various kitchenware items, including blenders, mixers, and pots, arranged in a grid-like fashion.

**Prestige®**

Regd. Office: Plot No. 38, Sipcot Industrial Complex, Hosur - 635126.

Corp. Office: TTK Prestige Ltd., 11th Floor, Brigade Towers, 135, Brigade Road, Bengaluru - 560025.

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